BofA Japan Tech Investment View

Oct-Dec 2026: IT services in focus on potential earnings upside from AI adoption

Earnings Preview

IT services our top sector pick for Oct-Dec 2026

Our Technology team ranks subsectors for Oct-Dec 2026 as follows: (1) IT services, (2) electronics, (3) precision and imaging, (4) semiconductors/SPE, and (5) electronic components. With investors increasingly focused on when AI-related capex and the semiconductor cycle could peak, we believe the near-term rotation away from AI hardware could continue. Our ranking reflects: (1) continued robust domestic IT investment; (2) potential revenue and cost benefits from AI adoption; (3) broader stock selection within AI hardware, including power-related businesses; and (4) company-specific earnings growth drivers such as business restructuring.

We highlight IT services first, supported by solid domestic IT investment and a favorable outlook into 2027. Demand should remain robust for modernization, core system upgrades, and AI adoption. We therefore expect the sector's strong share-price performance to continue.

2027 outlook: Broadening AI investment opportunities

We summarize 2027 outlook and key themes by subsector from Page 8. For IT services and electronics, we see benefits from (1) AI adoption on both the revenue and cost sides, (2) rollout of AI solutions by system integrators, and (3) increased use of AI in system development. As the AI hardware market expands, we expect investor focus to broaden toward areas that can monetize AI investment. For semiconductors/SPE and electronic components, we expect broader stock selection beyond core AI names, with relatively greater attention on power-related equipment and components.

Stocks to watch: NEC (6701), OBC (4733)

The stocks to watch for Oct-Dec 2026 are NEC (6701) and OBC (4733). For NEC, we expect growth in IT services and defense. Following the upward revision at 1Q results, we see a strong likelihood of another upward revision at 2Q results to reflect the impact of consolidating CSG, which we estimate at ¥25bn. For OBC, we expect accelerating growth from a larger cloud user base and higher ASP. In addition to migration from on-premise systems to the cloud, new contract wins remain solid.

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Exhibit 1: IT services in focus
Subsector preferences and stocks to watch

	Subsector	Stocks to watch
1	IT services	NEC(6701), OBC(4733)
2	Electronics	Panasonic (6752)
3	Precision	JEOL (6951)
4	Semiconductors / SPE	Kioxia (285A), Renesas (6723)
5	Electric components	TDK (6762)

Source: BofA Global Research

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ASP: Average Selling Price

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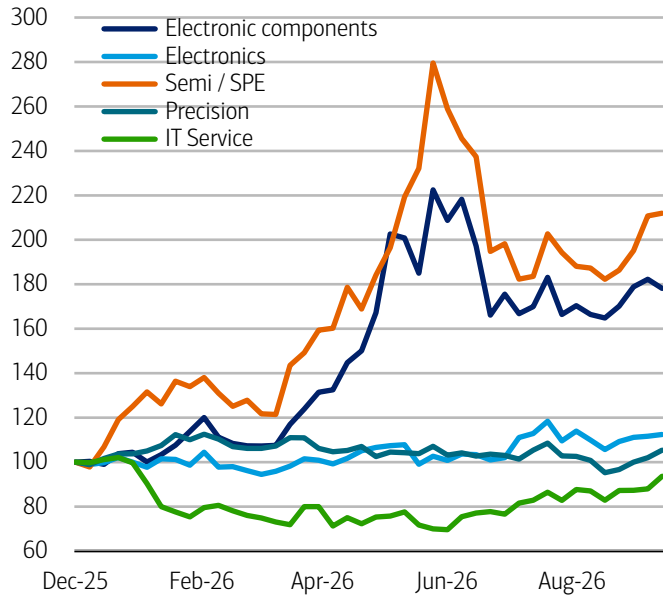
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Sector Performance Data

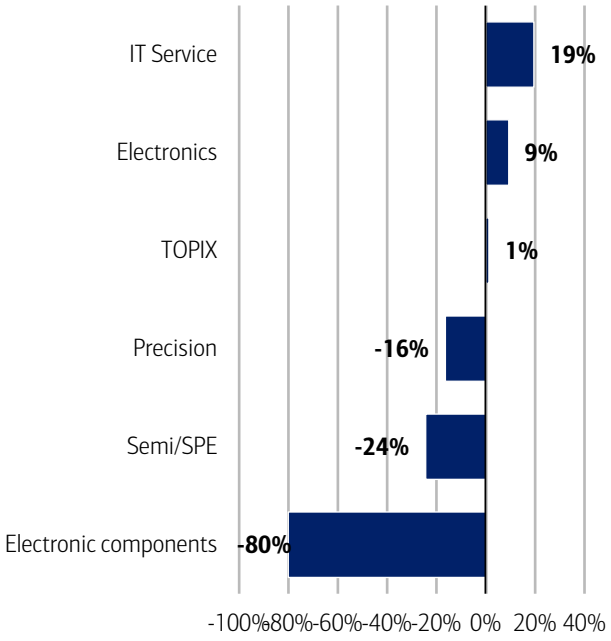
Exhibit 2: Jul-Sep 2026: Semiconductors/SPE corrected; rotation away from AI hardware likely to continue
Market cap trends by subsector



Note: End-December 2025 indexed as 100
Source: Bloomberg, BofA Global Research

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Exhibit 3: IT services and electrical equipment outperformed TOPIX
Jul-Sep 2026 subsector performance (aggregate market cap)



Source: Bloomberg, BofA Global Research

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Exhibit 4: One-month stock performance ranking
Top/bottom 10 stocks by share-price performance (as of September 30, 2026)

Best Performer

Rank	Company Name	Cluster	1M	3M	6M	12M
1	Lasertec	Semi / SPE	22.3%	-17.2%	230.7%	104.3%
2	MinebeaMitsumi	Electronic Components	11.8%	-20.5%	77.1%	36.8%
3	Murata Mfg	Electronic Components	9.7%	-30.8%	249.2%	182.8%
4	JEOL	Precision	9.0%	3.5%	72.4%	53.8%
5	Trend Micro	IT services	8.9%	9.2%	-32.9%	-17.1%
6	Kioxia	Semi / SPE	8.6%	-39.5%	2173.2%	1013.5%
7	Ibiden	Electronic Components	7.9%	-7.3%	1012.6%	392.4%
8	SCREEN	Semi / SPE	7.4%	-18.0%	210.0%	119.0%
9	Rigaku	Semi / SPE	7.0%	-30.4%	88.5%	95.3%
10	Tokyo Seimitsu	Precision	5.9%	-6.6%	141.4%	89.1%

Worst Performer

Rank	Company Name	Cluster	1M	3M	6M	12M
1	Nidec	Electronic Components	-8.8%	-11.0%	-5.5%	-10.6%
2	OBC	IT services	-7.8%	32.8%	13.1%	-10.4%
3	Niterra	Electronic Components	-7.7%	-28.0%	75.9%	36.9%
4	Mitsubishi Elec	Electronics	-6.3%	-10.9%	94.9%	38.5%
5	Baycurrent	Electronics	-6.1%	28.4%	21.9%	-9.9%
6	Sony Group Corp	Electronics	-6.0%	15.1%	4.6%	-11.0%
7	NRI	IT services	-5.6%	8.8%	4.9%	-11.1%
8	NS Solutions	IT services	-5.2%	12.6%	2.2%	7.4%
9	HOYA	Precision	-4.1%	-9.1%	42.3%	15.9%
10	Hirose Electric	Electronic Components	-3.4%	-13.1%	49.0%	37.7%

Source: Bloomberg, BofA Global Research

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Exhibit 5: Three-month stock performance ranking
Top/bottom 10 stocks by share-price performance (as of September 30, 2026)

Best Performer

Rank	Company Name	Cluster	1M	3M	6M	12M
1	OBC	IT services	-7.8%	32.8%	13.1%	-10.4%
2	Otsuka Corp	IT services	1.0%	31.5%	18.3%	22.1%
3	Obic	IT services	-1.6%	30.9%	18.5%	-1.7%
4	Baycurrent	Electronics	-6.1%	28.4%	21.9%	-9.9%
5	TISI	IT services	0.3%	25.6%	-1.8%	-17.5%
6	Hitachi	Electronics	1.5%	23.4%	61.4%	41.2%
7	Fujitsu	IT services	2.9%	22.6%	37.0%	15.6%
8	NEC	IT services	-2.6%	21.8%	53.4%	1.4%
9	Oracle Japan	IT services	2.0%	15.8%	-31.7%	-30.0%
10	Sony Group Corp	Electronics	-6.0%	15.1%	4.6%	-11.0%

Worst Performer

Rank	Company Name	Cluster	1M	3M	6M	12M
1	Taiyo Yuden	Electronic Components	2.0%	-53.5%	289.6%	186.4%
2	Kioxia	Semi / SPE	8.6%	-39.5%	2173.2%	1013.5%
3	Murata Mfg	Electronic Components	9.7%	-30.8%	249.2%	182.8%
4	Rigaku	Semi / SPE	7.0%	-30.4%	88.5%	95.3%
5	DISCO	Semi / SPE	-0.9%	-29.1%	94.4%	24.6%
6	Niterra	Electronic Components	-7.7%	-28.0%	75.9%	36.9%
7	Renesas Electronics	Semi / SPE	2.5%	-27.7%	77.2%	106.5%
8	ULVAC	Precision	5.8%	-23.3%	63.3%	24.8%
9	Tokyo Electron	Semi / SPE	5.4%	-22.9%	201.5%	127.7%
10	Anritsu	Electronics	0.6%	-21.7%	161.6%	84.5%

Source: Bloomberg, BofA Global Research

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Exhibit 6: Six-month stock performance ranking
Top/bottom 10 stocks by share-price performance (as of September 30, 2026)

Best Performer

Rank	Company Name	Cluster	1M	3M	6M	12M
1	Kioxia	Semi / SPE	8.6%	-39.5%	2173.2%	1013.5%
2	Ibiden	Electronic Components	7.9%	-7.3%	1012.6%	392.4%
3	Advantest	Semi / SPE	1.7%	5.9%	431.1%	134.2%
4	Taiyo Yuden	Electronic Components	2.0%	-53.5%	289.6%	186.4%
5	Rohm	Electronic Components	1.5%	-8.2%	252.5%	125.1%
6	Murata Mfg	Electronic Components	9.7%	-30.8%	249.2%	182.8%
7	Lasertec	Semi / SPE	22.3%	-17.2%	230.7%	104.3%
8	SCREEN	Semi / SPE	7.4%	-18.0%	210.0%	119.0%
9	Tokyo Electron	Semi / SPE	5.4%	-22.9%	201.5%	127.7%
10	Anritsu	Electronics	0.6%	-21.7%	161.6%	84.5%

Worst Performer

Rank	Company Name	Cluster	1M	3M	6M	12M
1	Trend Micro	IT services	8.9%	9.2%	-32.9%	-17.1%
2	Sharp	Electronics	-2.9%	-1.0%	-31.7%	-22.3%
3	Oracle Japan	IT services	2.0%	15.8%	-31.7%	-30.0%
4	Nidec	Electronic Components	-8.8%	-11.0%	-5.5%	-10.6%
5	TISI	IT services	0.3%	25.6%	-1.8%	-17.5%
6	NS Solutions	IT services	-5.2%	12.6%	2.2%	7.4%
7	Japan Aviation	Electronic Components	5.1%	13.0%	2.6%	5.2%
8	Sony Group Corp	Electronics	-6.0%	15.1%	4.6%	-11.0%
9	Canon	Precision	-1.5%	11.0%	4.7%	10.1%
10	NRI	IT services	-5.6%	8.8%	4.9%	-11.1%

Source: Bloomberg, BofA Global Research

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Exhibit 7: 12-month stock performance ranking
Top/bottom 10 stocks by share-price performance (as of September 30, 2026)

Best Performer

Rank	Company Name	Cluster	1M	3M	6M	12M
1	Kioxia	Semi / SPE	8.6%	-39.5%	2173.2%	1013.5%
2	Ibiden	Electronic Components	7.9%	-7.3%	1012.6%	392.4%
3	Taiyo Yuden	Electronic Components	2.0%	-53.5%	289.6%	186.4%
4	Murata Mfg	Electronic Components	9.7%	-30.8%	249.2%	182.8%
5	Panasonic	Electronics	0.4%	0.3%	160.2%	182.8%
6	Advantest	Semi / SPE	1.7%	5.9%	431.1%	134.2%
7	Tokyo Electron	Semi / SPE	5.4%	-22.9%	201.5%	127.7%
8	Rohm	Electronic Components	1.5%	-8.2%	252.5%	125.1%
9	SCREEN	Semi / SPE	7.4%	-18.0%	210.0%	119.0%
10	Renesas Electronics	Semi / SPE	2.5%	-27.7%	77.2%	106.5%

Worst Performer

Rank	Company Name	Cluster	1M	3M	6M	12M
1	Oracle Japan	IT services	2.0%	15.8%	-31.7%	-30.0%
2	Sharp	Electronics	-2.9%	-1.0%	-31.7%	-22.3%
3	BIPROGY	IT services	-1.1%	10.3%	5.4%	-20.8%
4	TISI	IT services	0.3%	25.6%	-1.8%	-17.5%
5	Trend Micro	IT services	8.9%	9.2%	-32.9%	-17.1%
6	NRI	IT services	-5.6%	8.8%	4.9%	-11.1%
7	Sony Group Corp	Electronics	-6.0%	15.1%	4.6%	-11.0%
8	Nidec	Electronic Components	-8.8%	-11.0%	-5.5%	-10.6%
9	OBC	IT services	-7.8%	32.8%	13.1%	-10.4%
10	Baycurrent	Electronics	-6.1%	28.4%	21.9%	-9.9%

Source: Bloomberg, BofA Global Research

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Executive summary

IT services our top sector pick for Oct-Dec 2026

Our Technology team ranks subsectors for Oct-Dec 2026 as follows: (1) IT services, (2) electronics, (3) precision and imaging, (4) semiconductors/SPE, and (5) electronic components.

Exhibit 8: NEC and OBC are our stocks to watch for Oct-Dec 2026
Subsector preferences and stocks to watch

	Subsector	Stocks to watch
1	IT services	NEC (6701), OBC (4733)
2	Electronics	Panasonic (6752)
3	Precision	JEOL (6951)
4	Semiconductors / SPE	Kioxia (285A), Renesas (6723)
5	Electric components	TDK (6762)

Source: BofA Global Research

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AI-related stocks rose sharply in Apr-Jun 2026 before entering a correction phase in Jul-Sep 2026. In Oct-Dec 2026, we expect stock selection to increasingly focus on fundamentals. However, with investors becoming more conscious of a potential peak in AI-related investment and the semiconductor cycle, we expect volatility in AI hardware stocks to remain high.

Given the likelihood that the rotation away from AI hardware will continue at least in the near term, we base our subsector preferences on: (1) continued robust domestic IT investment, (2) emerging revenue and cost benefits from AI adoption, (3) growth in power-related businesses within AI hardware, and (4) company-specific earnings growth drivers such as business restructuring.

We highlight IT services first. In addition to our view that IT services companies should be relatively favored as near-term upside for AI hardware stocks becomes more limited, we expect tangible monetization of AI on both the revenue and cost sides. Continued strong domestic IT investment also provides fundamental support.

For electronics, while Panasonic has AI-related exposure including battery backup units (BBU), we see potential for AI-driven top-line growth to accelerate toward 2027. In particular, Hitachi's domestic IT services business aims to improve productivity through initiatives including full-scale AI adoption across the entire system integration process.

For semiconductors/SPE, amid growing concerns that the semiconductor cycle could peak in 2028, we see limited potential for events that could drive a major share-price rally this quarter.

We focus electronic components last. We see limited share-price upside, given: (1) strong near-term earnings appear to be largely priced in, and (2) weak end-demand for smartphones, PCs and tablets could increasingly come into focus. The sector's high FX sensitivity could also contribute to uncertainty over the medium to long term.

We have also added precision and imaging equipment as a standalone subsector from this report, highlighting it third. While earnings at HOYA (7741) remain solid, performance at sector major Canon (7751) is weak, leaving limited near-term share-price catalysts.

Stocks to watch: NEC (6701) and OBC (4733)

Our Technology team's stocks to watch for Oct-Dec 2026 are NEC (6701) and OBC (4733).

For NEC (6701), we expect growth in IT services and defense. The company raised its full-year guidance at 1Q FY3/27 results. At 2Q, we see a strong likelihood of another upward revision reflecting the impact of consolidating CSG, which we estimate at ¥25bn. At 3Q, we also see potential for a further upward revision, mainly driven by the release of allowances totaling ¥30bn.

For OBC (4733), we expect growth to accelerate on cloud user expansion and higher ASP. In addition to migration from on-premise systems to the cloud, new contract wins remain solid. We believe this reflects growing public- and private-sector demand for stronger cybersecurity, driving demand for Bugyo Cloud and its security functionality.

2027 outlook: Broadening AI opportunities

We summarize our 2027 outlook and key themes by subsector from Page 8.

AI adoption should be a key theme for IT services and electronics. We expect: (1) tangible revenue and cost benefits from AI adoption, (2) rollout of AI solutions by system integrators, and (3) increased use of AI in system development.

For semiconductors/SPE and electronic components, a key focus should be broader stock selection beyond core AI names. Within semiconductors/SPE, we see potential for investor focus to shift from Advantest (6857) toward Kioxia (285A) and Renesas (6723), and within electronic components, from Ibiden (4062) and Murata Mfg (6981) toward TDK (6762) and Rohm (6963).

We expect AI to remain a major theme for the technology sector. However, from 2027, we expect the investment thesis to broaden beyond demand growth for semiconductors and electronic components used in AI servers, entering a new growth phase driven by rising demand for power-related components and devices associated with the shift to 800 volts direct current (VDC), new hardware demand from the expansion of agentic AI, and growth in the IT services market through AI adoption.

2027 outlook

IT services: Focus on divergence in AI-driven growth

We expect robust IT investment demand and a favorable environment to continue, driven by modernization, core system upgrades and AI adoption. Revenue and cost benefits from AI should also become more visible, potentially supporting continued earnings growth momentum. However, among system integrators (SIers), we see scope for a widening gap between major players such as NEC (6701), Fujitsu (6702) and Nomura Research Institute (4307, NRI), and mid-sized players, reflecting differences in progress on AI solution deployment and outsourcing cost reductions. In addition to NEC and Obic Business Consultants (4733, OBC), our IT services stocks to watch, we expect Fujitsu to attract greater attention in computing. Its next-generation domestic central processing unit (CPU), FUJITSU-MONAKA, is scheduled to begin shipments in April 2027, with the company targeting cumulative sales of ¥250bn over the four years through FY3/31. The company also plans to launch the FUJITSU MONAKA Server.

Electronics: Focus on AI-driven top-line growth initiatives

For the electronics sector in 2027, we expect the AI theme to broaden from hardware businesses enabling AI expansion, such as the energy businesses of Hitachi (6501), Mitsubishi Electric (6503) and Fuji Electric (6504), and Panasonic's (6752) data center-related batteries, capacitors and copper-clad laminates, to businesses using AI to drive top-line growth. Hitachi's domestic IT services business is a key focus. Hitachi is expanding its Agentic AI Integration Platform, which applies AI across all stages of highly reliable system integration, to large-scale projects. The company aims to raise AI utilization in system development from the current 60% and improve productivity by 30% in FY3/28 versus FY3/26. We expect it to redirect engineering resources freed up through productivity gains toward new business and accelerate top-line growth. If domestic IT services sales growth accelerates from the current mid- to high-single digits to double digits, we see further upside to Hitachi's valuation.

For Sony (6758), concerns remain that AI could reduce the relative value of its music and movie IP. Against this backdrop, demonstrating AI-driven revenue growth initiatives could support a valuation re-rating.

Precision and imaging: MTP and advanced lithography

With many companies highly exposed to AI and data center demand, we see two key stock-selection themes: (1) revisions to medium-term plans (MTP) and (2) growing demand for advanced lithography equipment.

Medium-term plan revisions: FY2027 should bring greater focus on revisions to volume targets under medium-term management plans. We see potential upside revisions at Tokyo Seimitsu (7729), whose plan ends in FY3/28. Continued robust demand from memory and outsourced semiconductor assembly and test (OSAT) customers, together with indications of expanding production capacity for strategic prober products, has increased the likelihood of achieving current targets.

Conversely, we see downside revision risk at Canon (7751) and ULVAC (6728), both approaching the midpoint of their medium-term plans. At Canon, prolonged weakness in the multifunction printer market and limited contributions from new products could lead to lower interim targets. For ULVAC, while the company aims to resolve the supply constraints discussed at its Apr-Jun 2026 results briefing during FY6/27, we believe the scale of the constraints is greater than expected and see resolution slipping into FY6/28.

Growing demand for advanced lithography equipment: While semiconductor manufacturing is seeing technological advances across multiple processes, advanced lithography is one area where we expect meaningful expansion from 2027. As EUV adoption accelerates at US foundries benefiting from a recovery in advanced logic investment and at major global memory manufacturers amid advances in high bandwidth memory (HBM) generations, we expect JEOL (6951), which supplies multi-beam mask

writers, and HOYA (7741), a major extreme ultraviolet (EUV) mask blanks supplier, to benefit.

Nikon (7731) could also benefit indirectly. If EUV demand exceeds ASML's supply capacity and constrains the availability of its deep ultraviolet (DUV) immersion lithography systems, Nikon could capture some of the resulting alternative demand.

Semiconductors/SPE: Broadening beyond core AI

In 2026, Advantest benefited from growing recognition as a core AI name able to capture advances across AI semiconductors, including XPUs (AI accelerators) and memory. With higher expectations for core AI names now largely priced in, we expect investor interest to broaden to peripheral AI beneficiaries in 2027. We highlight Kioxia (285A) and Renesas (6723).

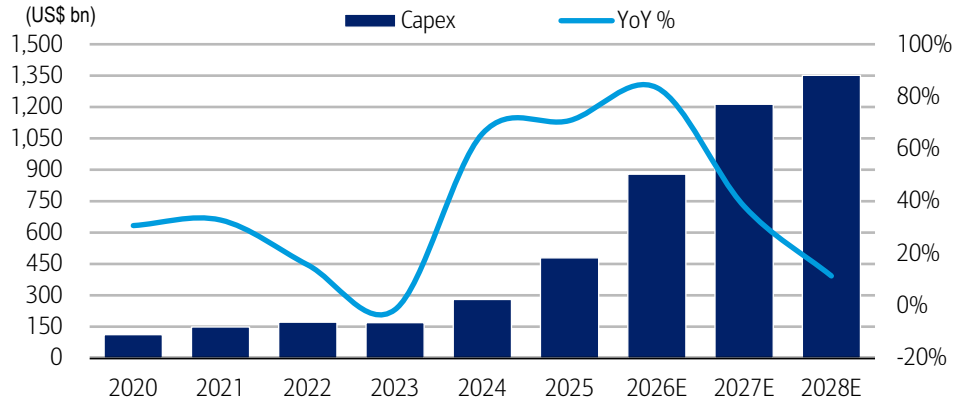
As the market reassesses Kioxia's fundamentals, particularly the NAND (NOT AND) market, we see share-price catalysts from (1) a capital-allocation policy focused on shareholder returns and (2) an improved stock supply-demand balance. For Renesas, we believe market recognition of structural growth in data center products, including memory interfaces and digital power, is on an upward trend. Greater market confidence in the cyclical recovery already emerging in automotive semiconductors should also support the shares.

Electronic components: Broadening AI opportunities

We expect AI-related names to remain the main focus in electronic components in 2027. A significant recovery in orders from IT equipment markets such as PCs, tablets and smartphones is unlikely, given volume declines caused by factors including memory - shortages. We also expect uncertainty over end-demand in the automotive market to persist. For stock selection in 2027, we see three key factors: (1) a broadening of AI-related electronic component demand drivers from servers to power-related applications, (2) higher component value per device and market-share gains in areas such as IT equipment and automotive, and (3) company-specific earnings growth drivers, including restructuring and M&A.

For AI-related products in particular, the shift to 800VDC should expand demand beyond AI server components such as semiconductor package substrates and compact, high-capacitance multi-layer ceramic capacitors (MLCC) to power-related components, including high-voltage MLCCs, inductors, aluminum electrolytic capacitors, power semiconductors and medium-sized batteries. We expect this to broaden business opportunities beyond Ibiden (4062) and Murata Mfg (6981), which have been core AI beneficiaries, to TDK (6762) and Rohm (6963).

Exhibit 9: Cloud investment to remain high beyond 2027
Global cloud investment (calendar year)



Source: Company data compiled by BofA Global Research
Note: The global capex investment represents the combined total from Google, Microsoft, Amazon, Meta, Oracle, Alibaba, Tencent and Baidu
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Physical AI, including humanoids, is not yet a major factor in selecting Japanese electronic components stocks, but we expect it to gradually emerge as an investment theme. In particular, we see higher demand for components such as motors and sensors.

Major product shipment outlook

Exhibit 10: Major product shipment outlook
Growth expected in AI servers and HDDs

(mn units)	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Smartphone	1,432	1,413	1,300	1,358	1,198	1,152	1,218	1,260	1,261	1,316	1,347
Apple	205	192	195	238	233	225	222	243	225	263	269
Samsung	290	295	254	271	258	225	224	240	237	240	251
Other OEMs	936	926	851	849	707	702	772	777	799	813	827
Tablet	154	144	172	167	144	120	122	126	127	129	131
PC	265	273	312	361	301	260	263	285	262	269	276
HDD	375	318	260	259	172	122	124	121	115	113	112
NL HDD	52	53	59	73	61	39	58	65	67	71	73
Server	11.8	11.8	12.7	13.5	15.6	13.4	16.3	18.0	20.5	22.0	23.7
AI server	-	-	-	-	0.7	1.2	2.3	2.2	2.9	3.5	4.0
Traditional server	11.8	11.8	12.7	13.5	14.9	12.2	14.0	15.7	17.6	18.5	19.6
Auto	94.2	89.0	74.6	77.2	82.3	90.5	89.6	93.1	91.1	91.8	93.3
ICE	92.0	86.4	71.2	70.6	71.2	75.4	71.5	70.7	65.9	61.6	59.8
BEV	1.5	1.8	2.3	4.7	8.2	10.6	11.5	14.9	17.6	21.3	23.6
PHEV	0.7	0.7	1.2	1.9	3.0	4.5	6.6	7.5	7.7	8.9	9.8
FCEV	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Growth YoY	**2018**	**2019**	**2020**	**2021**	**2022**	**2023**	**2024**	**2025**	**2026E**	**2027E**	**2028E**
Smartphone	-5%	-1%	-8%	4%	-12%	-4%	6%	3%	0%	4%	2%
Apple	-5%	-6%	1%	22%	-2%	-3%	-1%	9%	-7%	17%	2%
Samsung	-8%	2%	-14%	7%	-5%	-13%	-1%	7%	-1%	1%	4%
Other OEMs	-4%	-1%	-8%	0%	-17%	-1%	10%	1%	3%	2%	2%
5G smartphone	-	-	1344%	128%	11%	8%	16%	6%	8%	7%	-100%
Tablet	-6%	-6%	19%	-3%	-11%	-6%	1%	3%	1%	1%	1%
PC	0%	3%	14%	16%	-17%	-14%	1%	8%	-8%	2%	3%
HDD	-7%	-15%	-18%	0%	-34%	-29%	1%	-3%	-4%	-2%	-1%
NL HDD	23%	2%	12%	23%	-16%	-36%	48%	12%	3%	5%	4%
Server	16%	0%	7%	7%	-100%	-14%	22%	10%	14%	7%	7%
AI server	-	-	-	-	-	72%	100%	-3%	28%	23%	14%
Traditional server	16%	0%	7%	7%	10%	-18%	14%	12%	12%	5%	6%
Auto	-1%	-6%	-16%	3%	7%	10%	-1%	4%	-2%	1%	2%
ICE	-	-6%	-18%	-1%	1%	6%	-5%	-1%	-7%	-6%	-3%
BEV	-	22%	23%	108%	73%	30%	8%	30%	18%	21%	11%
PHEV	-	-3%	74%	61%	60%	51%	46%	14%	2%	16%	10%
FCEV	-	119%	-22%	120%	-7%	-24%	-53%	35%	34%	41%	43%

Source: SA, IDC, I.H.S., CIPA, BofA Global Research estimates
Note: Total production units for Auto

BofA GLOBAL RESEARCH

FX sensitivity

Exhibit 11: Effect of US dollar movement on each company
FX sensitivity (¥ bn)

		(A) Impact on OP by 1 yen/dollar movement	(B) FY3/27 OP BofA E	FY3/28 OP BofA E	(A) / (B) Sensitivity
Electronic components					
4062	Ibiden	1.00	132.1	188.2	0.8%
5334	Niterra	0.17	160.6	179.5	0.1%
6479	MinebeaMitsumi	0.40	127.0	147.7	0.3%
6592	Mabuchi Motor*	0.26	26.7	28.1	1.0%
6762	TDK	2.00	353.5	395.5	0.6%
6770	Alps Alpine	0.96	44.6	48.8	2.2%
6806	Hirose Electric	0.36	52.9	58.7	0.7%
6807	Japan Aviation	0.20	9.0	11.7	2.2%
6908	Iriso Electronics	0.00	6.4	7.4	0.0%
6963	Rohm	0.60	53.4	95.7	1.1%
6971	Kyocera	0.70	162.5	184.2	0.4%
6976	Taiyo Yuden	0.90	38.9	63.5	2.3%
6981	Murata Mfg.	4.50	456.6	658.1	1.0%
6988	Nitto Denko	2.70	202.8	208.8	1.3%
6996	Nichicon	0.11	12.0	13.6	0.9%
6997	Chemi-Con	0.26	8.6	11.0	3.0%
Electronics, semiconductor, and SPE					
6146	Disco	1.70	262.0	312.8	0.6%
6501	Hitachi	0.00	1468.6	1713.1	0.0%
6503	Mitsubishi Electric	1.25	667.8	730.0	0.2%
6504	Fuji Electric	-0.16	165.8	181.9	-0.1%
6723	Renesas*	3.20	548.5	619.9	0.6%
6752	Panasonic	3.00	645.5	863.7	0.5%
6753	Sharp	-2.40	34.5	54.6	-7.0%
6754	Anritsu	-	21.7	27.5	NA
6758	Sony	6.50	1796.4	1849.1	0.4%
6857	Advantest	4.00	890.7	1053.2	0.4%
6920	Lasertec**	0.20	146.6	208.0	0.1%
7735	SCREEN	0.13	163.1	248.5	0.1%
8035	Tokyo Electron	-	1010.0	1395.4	NA
268A	Rigaku*	0.04	19.0	25.9	0.2%
285A	Kioxia	36.00	7512.7	9647.1	0.5%
Precision and Imaging					
7731	Nikon	0.40	15.4	28.5	2.6%
7741	HOYA	1.00	345.7	380.9	0.3%
7751	Canon*	3.00	485.8	522.1	0.6%

Source: Company Data, BofA Global Research
Note: *Fiscal year ends December, **Fiscal year ends June

BofA GLOBAL RESEARCH

Exhibit 12: Effect of euro movement on each company
FX sensitivity (¥ bn)

	(A) Impact on OP by 1 yen/euro movement	(B) FY3/27 OP BofA E	FY3/28 OP BofA E	(A) / (B) Sensitivity
Electronic components				
4062 Ibiden	0.10	132.1	188.2	0.1%
6762 TDK	0.30	353.5	395.5	0.1%
6971 Kyocera	0.30	162.5	184.2	0.2%
Electronics, semi, and SPE				
6146 Disco	0.10	262.0	312.8	0.0%
6501 Hitachi	0.80	1468.6	1713.1	0.1%
6503 Mitsubishi Electric	1.33	667.8	730.0	0.2%
6504 Fuji Electric	0.90	165.8	181.9	0.5%
6723 Renesas*	0.40	548.5	619.9	0.1%
6752 Panasonic	-0.80	645.5	863.7	-0.1%
6753 Sharp	0.20	34.5	54.6	0.6%
6754 Anritsu	-	21.7	27.5	NA
6758 Sony	6.00	1796.4	1849.1	0.3%
6857 Advantest	-0.40	890.7	1053.2	0.0%
6920 Lasertec**	-	146.6	208.0	NA
7735 SCREEN	0.06	163.1	248.5	0.0%
8035 Tokyo Electron	-	1010.0	1395.4	NA
268A Rigaku*	0.03	19.0	25.9	0.2%
285A Kioxia	-	7512.7	9647.1	NA
Precision and Imaging				
7731 Nikon	0.27	15.4	28.5	1.7%
7741 HOYA	0.10	345.7	380.9	0.0%
7751 Canon*	3.00	485.8	522.1	0.6%

Source: Company Data, BofA Global Research
Note: *Fiscal year ends December, **Fiscal year ends June

BofA GLOBAL RESEARCH

Stocks to watch by subsector

IT services: NEC (6701) and OBC (4733)

For NEC (6701), we expect growth in IT services and defense. The company raised its full-year guidance at 1Q FY3/27 results. At 2Q, we see a strong likelihood of another upward revision reflecting the impact of consolidating CSG, which we estimate at ¥25bn. At 3Q, we also expect a further upward revision, mainly driven by the release of ¥30bn in allowances.

For OBC (4733), we expect growth to accelerate on cloud user expansion and higher ASP. In addition to migration from on-premise systems to the cloud, new contract wins remain solid. We believe growing public- and private-sector requirements for stronger cybersecurity are driving demand for Bugyo Cloud and its security functionality.

Electronics: Panasonic (6752)

Panasonic (6752) is our stock to watch in Electronics. Our Buy thesis centers on profitability improvement through business restructuring and earnings growth driven by data center-related businesses. Market expectations for Panasonic's earnings have risen since its positive-surprise 1Q results. However, the shares still look inexpensive at 16x our FY3/28 EPS estimate. Continued stable quarterly results should further narrow the valuation discount. Over the medium- to long-term, we will focus on whether the company takes further steps to improve capital efficiency, including additional restructuring.

Precision and imaging: JEOL (6951)

We highlight JEOL (6951) for Jul-Sep 2026. Following its results briefing at end-November, we expect investor focus to shift to (1) an order recovery in multi-beam mask writers from 2H FY3/27, supported by growing inquiries from memory customers, (2) increased earnings contribution from optical module-related products from 4Q, and (3) profitability improvement from new microscope products expected to contribute meaningfully from FY3/28. We expect increasing recognition of JEOL's ability to capture demand across a broad range of applications and its relatively low supply-constraint risk given its product portfolio requires relatively few components.

Semiconductors/SPE: Kioxia (285A) and Renesas (6723)

Our stocks to watch in Semiconductors/SPE for Oct-Dec 2026 are Kioxia (285A) and Renesas (6723). Despite various market speculation, we estimate Kioxia's 2Q results were in line with company guidance. Micron's September 30 results increased our confidence in this view. We expect the share-price performance gap versus SanDisk (SNDK) to narrow once Kioxia outlines its overall capital allocation and shareholder-return policy. At Jul-Sep 2026 results, we expect another roughly ¥800bn share buyback, following a similar buyback in Apr-Jun 2026. However, we believe the full shareholder-return framework is more likely to be disclosed at FY3/27 full-year results.

For Renesas, we expect 3Q Jul-Sep operating profit to come in slightly above company guidance, while 4Q operating margin guidance is likely to indicate a QoQ decline and remain conservative, as before. A key event is Texas Instruments' (TXN) results at 5:30am JST on 22 Oct. Strong results that increase investor focus on AI power growth and the automotive semiconductor recovery could provide a catalyst for Renesas shares.

Electronic Components: TDK (6762)

TDK (6762) is our stock to watch in electronic components for Oct-Dec 2026. The shares trade at a relatively inexpensive valuation versus major Electronic Components peers, while we expect fundamentals to improve at an accelerating pace from 2H FY3/27. We see earnings growth, driven by (1) accelerating demand for passive components for AI data centers, including MLCCs, inductors and aluminum electrolytic capacitors; (2) higher hard disk drive (HDD) magnetic-head volumes and improved profitability; and (3) the start of mass production of BBU batteries. We also expect benefits from collaboration with Taiyo Yuden (6976) in Electronic Components. With TDK broadly achieving the key KPIs in its current medium-term plan ending FY3/27, we expect expectations to build for its new medium-term plan starting FY3/28.

Earnings estimates

Exhibit 13: Full-year earnings outlook by company
Earnings estimates (¥bn)

		OP			YoY			NP			YoY		
		FY3/26 A	FY3/27 E	FY3/28 E	FY3/26 A	FY3/27 E	FY3/28 E	FY3/26 A	FY3/27 E	FY3/28 E	FY3/26 A	FY3/27 E	FY3/28 E
Electronic components		**1,322.2**	**1,841.2**	**2,293.1**	**22%**	**39%**	**25%**	**940.1**	**1,441.0**	**1,766.5**	**17%**	**53%**	**23%**
4062	Ibiden	62.0	132.1	188.2	30%	113%	42%	63.7	94.9	136.9	89%	49%	44%
5334	Niterra	138.2	160.6	179.5	7%	16%	12%	112.9	112.4	131.6	22%	0%	17%
6479	MinebeaMitsumi	104.0	127.0	147.7	10%	22%	16%	99.0	98.0	111.2	67%	-1%	13%
6592	Mabuchi Motor*	25.5	26.7	28.1	18%	5%	5%	26.3	23.8	23.5	105%	-9%	-1%
6762	TDK	272.4	353.5	395.5	21%	30%	12%	195.6	279.1	304.6	17%	43%	9%
6770	Alps Alpine	42.0	44.6	48.8	23%	6%	9%	26.9	27.5	27.5	-29%	2%	0%
6806	Hirose Electric	44.9	52.9	58.7	5%	18%	11%	35.1	36.9	43.8	6%	5%	19%
6807	Japan Aviation	8.9	9.0	11.7	-43%	1%	30%	7.1	7.6	9.8	-39%	8%	29%
6963	Rohm	10.8	53.4	95.7	nm	393%	79%	-158.4	45.8	76.8	nm	nm	68%
6971	Kyocera	118.1	162.5	184.2	333%	38%	13%	141.0	162.5	170.6	485%	15%	5%
6976	Taiyo Yuden	20.0	38.9	63.5	91%	95%	63%	14.8	25.8	44.0	523%	75%	70%
6981	Murata Mfg	281.8	456.6	658.1	1%	62%	44%	233.9	364.8	515.3	0%	56%	41%
6988	Nitto Denko	183.6	202.8	208.8	-1%	10%	3%	133.5	146.7	153.6	-3%	10%	5%
6996	Nichicon	6.5	12.0	13.6	24%	85%	14%	6.3	9.4	10.0	7%	48%	7%
6997	Nippon Chemi-Con	3.4	8.6	11.0	-10%	155%	28%	2.4	5.7	7.4	6305%	139%	31%
Electronics		**3,501.4**	**4,778.6**	**5,392.3**	**5%**	**36%**	**13%**	**2,626.3**	**3,482.1**	**3,939.2**	**2%**	**33%**	**13%**
6501	Hitachi	1,199.3	1,468.6	1,713.1	23%	22%	17%	802.4	996.7	1,177.9	30%	24%	18%
6503	Mitsubishi Elec	433.1	667.8	730.0	11%	54%	9%	407.8	523.4	571.3	26%	28%	9%
6504	Fuji Electric	136.6	165.8	181.9	16%	21%	10%	98.0	125.7	129.1	6%	28%	3%
6752	Panasonic	236.4	645.5	863.7	-45%	173%	34%	189.5	489.3	653.4	-48%	158%	34%
6753	Sharp	48.6	34.5	54.6	78%	-29%	58%	47.4	28.4	39.4	31%	-40%	39%
6758	Sony	1,447.5	1,796.4	1,849.1	3%	24%	3%	1,081.2	1,318.7	1,368.1	-5%	22%	4%
Semiconductors / SPE		**2,825.6**	**10,574.4**	**13,538.3**	**27%**	**274%**	**28%**	**2,160.3**	**7,553.8**	**9,838.5**	**29%**	**250%**	**30%**
268A	Rigaku*	16.7	19.0	25.9	-9%	14%	36%	11.4	13.1	18.0	-16%	15%	38%
285A	KIOXIA	870.4	7,512.7	9,647.1	93%	763%	28%	554.5	5,183.5	6,821.3	104%	835%	32%
6146	DISCO	185.0	262.0	312.8	11%	42%	19%	135.5	196.9	235.4	9%	45%	20%
6723	Renesas Electronics*	386.9	548.5	619.9	-3%	42%	13%	329.3	470.2	538.8	-9%	43%	15%
6754	Anritsu	14.8	21.7	27.5	22%	46%	27%	11.7	15.8	19.8	26%	36%	25%
6857	Advantest	499.1	890.7	1,053.2	119%	78%	18%	374.0	666.8	788.4	133%	78%	18%
6920	Lasertec**	105.3	146.6	208.0	-14%	39%	42%	77.5	107.1	151.9	-8%	38%	42%
7735	SCREEN	122.5	163.1	248.5	-10%	33%	52%	92.0	117.7	185.7	-8%	28%	58%
8035	Tokyo Electron	624.9	1,010.0	1,395.4	-10%	62%	38%	574.5	782.8	1,079.1	6%	36%	38%
Precision / Imaging		**707.5**	**917.1**	**1,015.0**	**12%**	**30%**	**11%**	**561.4**	**693.9**	**759.5**	**31%**	**24%**	**9%**
6728	Ulvac**	19.6	24.8	31.5	-26%	27%	27%	17.1	15.9	20.6	2%	-7%	29%
6951	JEOL	26.0	22.3	34.9	-27%	-14%	56%	22.1	17.8	26.3	18%	-19%	48%
7729	Tokyo Seimitsu	33.7	46.0	53.4	14%	36%	16%	24.7	32.7	40.0	-4%	32%	22%
7731	Nikon	-112.4	15.4	28.5	nm	nm	85%	-86.0	17.7	26.2	nm	nm	48%
7741	HOYA	285.2	345.7	380.9	12%	21%	10%	251.5	272.2	298.4	25%	8%	10%
7751	Canon	455.4	462.7	485.8	63%	2%	5%	332.1	337.6	347.9	108%	2%	3%
IT service		**1,145.5**	**1,445.0**	**1,657.0**	**7%**	**26%**	**15%**	**1,018.1**	**1,032.3**	**1,179.2**	**28%**	**1%**	**14%**
2327	NS Solutions	44.2	49.0	51.5	15%	11%	5%	30.8	32.8	34.7	14%	6%	6%
4307	NRI	58.3	178.0	194.0	-57%	205%	9%	15.3	124.1	135.6	-84%	713%	9%
4684	Obic	88.8	101.0	111.5	13%	14%	10%	75.2	84.4	92.2	16%	12%	9%
4716	Oracle Japan****	89.8	102.0	110.0	3%	14%	8%	63.5	71.7	77.1	5%	13%	8%
4733	Obic Business Consultants	23.6	28.0	34.5	8%	19%	23%	18.1	20.8	25.4	12%	15%	22%
4768	Otsuka Corp*	89.9	94.5	97.5	21%	5%	3%	64.3	64.9	67.2	20%	1%	4%
6701	NEC	359.9	434.0	528.0	40%	21%	22%	270.2	301.0	365.0	54%	11%	21%
6702	Fujitsu	348.3	412.0	482.0	31%	18%	17%	449.4	301.0	349.0	104%	-33%	16%
8056	BIPROGY	42.6	46.5	48.0	9%	9%	3%	31.2	31.6	33.0	16%	1%	4%

Source: Company, BofA Research
Note: * Fiscal year ends December ** Fiscal year ends June *** Fiscal year ends August **** Fiscal year ends May

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Exhibit 14: Jul-Sep 2026 earnings previews by company

Earnings estimate summary (¥bn)

	Company	Results date	CQ2 OP BofA E	CQ2 OP Cons. E	Comment
Fiscal year ending in March					
Electronic components					
4062	Ibiden	29-Oct	31.4	30.1	Revised FY3/31 medium-term profit targets and new plant capex are in focus, with upside risk to near-term earnings.
5334	Niterra	30-Oct	38.5	27.9	Despite a ¥15bn charge for the Wells auto parts divestiture, underlying 2Q profit should remain solid, led by plugs and sensors.
6479	MinebeaMitsumi	6-Nov	31.3	32.1	Strong ball bearing and motor businesses, including fan and spindle motors, should drive an upward revision to full-year guidance.
6762	TDK	30-Oct	107.3	105.4	Strong passive components and magnetics should drive higher full-year guidance, with the new FY3/28 plan also in focus.
6770	Alps Alpine	30-Oct	11.2	11.7	Kaela actuator contributions should support solid 2Q results, though higher costs pose downside risk to Mobility profit in 2H.
6806	Hirose Electric	4-Nov	14.0	14.4	Connector demand should stay solid, led by industrial and automotive markets, though copper prices should weigh on margins.
6807	Japan Aviation	28-Oct	2.5	2.9	Higher copper prices and lower productivity during automotive product ramp-ups should drive a full-year guidance miss.
6963	Rohm	5-Nov	14.2	15.1	Strong demand and cost reductions should drive a major guidance hike, while progress on the Toshiba semi deal is in focus.
6971	Kyocera	2-Nov	37.8	39.5	We expect no major 2Q surprise, while the December IR Day should outline further restructuring of the Solutions business.
6976	Taiyo Yuden	5-Nov	13.5	12.1	Solid 2Q results, but the ¥160/US$ FX assumption and weak MLCC productivity risk full-year guidance.
6981	Murata Mfg	30-Oct	132.5	78.1	Strong 2Q results should drive another guidance hike; focus on higher MLCC ASP from mix and pricing.
6988	Nitto Denko	27-Oct	57.5	59.0	Earnings should remain solid, but lower expectations for information tape demand in foldables should limit share-price upside.
6996	Nichicon	6-Nov	2.3	NA	A potential full-year guidance hike looks priced in, with xEV film and aluminum capacitor capacity ramp-up in focus.
6997	Chemi-Con	10-Nov	1.7	NA	We expect profit broadly in line with consensus, with the Dyson litigation and aluminum capacitor share shifts in AI in focus.
Electronics					
6501	Hitachi	28-Oct	350.1	353.3	Energy top-line growth and margin improvement should drive a 20% YoY increase in 2Q EBITA.
6503	Mitsubishi Elec	30-Oct	160.8	166.5	Continued strength in FA and improvement in infrastructure should drive a 43% YoY increase in 2Q operating profit.
6504	Fuji Electric	29-Oct	34.2	34.4	Strength in Energy & Industry should drive a 38% YoY increase in 2Q operating profit.
6752	Panasonic	30-Oct	162.3	156.9	Margin improvement from restructuring and strength in AI-related products, FA and chip mounters should drive earnings.
6753	Sharp	9-Nov	9.1	8.0	Lower TV and display sales, yen depreciation and higher raw material costs should weigh on earnings, driving a 2Q profit decline.
6758	Sony	5-Nov	477.8	497.6	Benefits from restructuring in Games and successful movie releases should drive an 11% YoY increase in 2Q operating profit.
Semiconductors / SPE					
285A	Kioxia	30-Oct	1938.8	1959.4	We expect high profit on favorable NAND supply-demand conditions, with 2Q results slightly above company guidance.
6146	DISCO	22-Oct	61.8	64.5	Strong generative AI and consumables demand continues; 2Q shipments to beat guidance.
6754	Anritsu	29-Oct	5.0	5.2	Focus on potential order upside driven by optical transceiver testing.
6857	Advantest	28-Oct	227.1	220.3	We expect substantial profit growth as ASIC tester demand adds to GPU tester demand.
7735	Screen	30-Oct	44.8	41.9	We expect 2Q operating profit to exceed company guidance and market expectations on improved SPE margins.
8035	Tokyo Electron	30-Oct	261.3	263.1	Focus on 2H gross margin guidance incorporating price optimization.
Precision / Imaging					
6951	JEOL	13-Nov	3.6	5.8	We expect profit in line with consensus. At the results briefing, focus will be on order guidance for optical modules.
7729	Tokyo Seimitsu	4-Nov	13.7	13.5	Results to beat conservative 1H guidance on robust memory demand. Watch component procurement.
7731	Nikon	5-Nov	-2.3	-1.9	2Q immersion lithography results in line with consensus. Focus on camera demand and SPE competition in 2H.
7741	HOYA	30-Oct	83.6	84.0	We expect continued strength in HDD glass substrates and EUV mask blanks, with no change to capacity expansion plans.
IT services					
2327	NSSOL	2-Nov	12.3	12.1	Operating profit should rise 25%, in line with the 1H plan, as prior losses and M&A costs fall away.
3626	TIS	4-Nov	19.9	20.4	Operating profit should rise 3% and beat the 1H plan despite merger costs.
4307	NRI	29-Oct	47.3	45.9	Operating profit should rise 14% on solid sales and productivity-led margin gains.
4684	OBIC	27-Oct	25.2	25.2	Operating profit should rise 14%, with double-digit growth in support and integration.
4733	OBC	27-Oct	6.3	NA	Operating profit should rise 13%, led by SaaS-based core business cloud growth.
6701	NEC	28-Oct	80.2	95.1	Non-GAAP operating profit should rise 8% as Marine losses end; IT services solid, Defense down.
6702	Fujitsu	29-Oct	78.5	76.6	Adjusted operating profit should fall 7% on prior asset gains and PC demand; services remain strong.
8056	BIPROGY	5-Nov	12.7	13.4	Operating profit should fall 1% on lower gross margin and higher core-system costs.
Fiscal year ending in June					
Semiconductors / SPE					
6920	Lasertec	30-Oct	28.1	25.6	1Q operating profit should rise 5% YoY; expect the ¥300-400bn order range floor to rise.
Precision / Imaging					
6728	Ulvac	30-Oct	5.7	6.2	Component sourcing remains unchanged and should continue to weigh on profit.
Fiscal year ending in December					
Electronic components					
6592	Mabuchi Motor	2-Nov	7.2	7.5	Auto motors remain solid in Japan, the US and Europe, but China volumes should curb growth.
Semiconductors / SPE					
6723	Renesas	29-Oct	144.3	121.7	Data centers and auto semiconductors should lift 3Q operating profit 40% YoY.
268A	Rigaku	11-Nov	2.6	3.0	Semiconductor growth continues, but weak analytical instruments should keep 3Q profit low.
Precision / Imaging					
7751	Canon	4-Nov	67.1	86.8	Weak printing demand and lithography component shortages should pressure profit.
IT services					
4704	Trend Micro	13-Aug	12.2	11.3	Operating profit should fall 24% on cloud costs; full-year guidance was cut at 2Q.
4768	Otsuka Corp	3-Aug	17.7	18.1	Operating profit should rise 2% as software and security network sales offset weaker PC demand.

Source: Company, IFIS, BofA Global Research estimates

BofA GLOBAL RESEARCH

IT services (Hideaki Tanaka)

Jul-Sep 2026 results preview

We believe IT investment remained robust, supported by modernization, core system upgrades and AI adoption, sustaining a favorable market environment. Major players such as NEC (6701) and Fujitsu (6702) also likely improved profitability through offering-service growth and productivity gains.

We see NEC as the most likely to raise full-year guidance, while NRI (4307) could also announce upward revisions. We expect the strongest share-price reaction at NEC given scope for another guidance hike in 3Q, as discussed below. By contrast, we expect NRI's revision to fall short of consensus, limiting potential share-price reactions.

We expect operating profit declines at three companies: Fujitsu, due to the absence of prior gains including asset disposals despite solid underlying performance; Trend Micro (4704), on higher cloud costs; and BIPROGY (8056), due to higher system costs. We believe these factors are largely priced in.

Oct-Dec 2026 outlook

We expect the favorable environment witnessed in Jul-Sep 2026 to continue. Major players should deliver solid earnings, while among small/mid-caps, we expect OBC (4733) to maintain strong growth, led by its core business cloud services.

Stocks to watch: NEC (6701) and OBC (4733)

NEC is our top large-cap pick. Its three-year CAGR in non-GAAP operating profit is 18%, among the highest in the sector. We expect sustained IT services growth, led by BluStellar, while Defense is expanding overseas following a contract with the Australian government. Normalization of the Marine Systems business should also boost earnings growth by eliminating losses. At 1Q FY3/27 results, NEC raised full-year non-GAAP operating profit guidance by ¥10bn after results exceeded its internal plan by ¥25bn. We expect another hike at 2Q reflecting the consolidation of CSG, which we estimate at ¥25bn. A further hike could follow in 3Q, mainly from the release of ¥30bn in allowances, leaving upside to consensus.

OBC is our top small/mid-cap pick. Its three-year operating profit CAGR is 19%, among the highest in the sector. We expect growth to accelerate on continued cloud migration and higher ASP. One driver of strong net additions in SaaS (Software as a Service) systems is likely rising public- and private-sector demand for stronger cybersecurity, supporting demand for Bugyo Cloud. Bugyo Cloud is a Microsoft Azure PaaS (Platform as a Service)-native SaaS that uses privilege separation, preventing application-level access to the OS and database infrastructure. We believe its architecture, which structurally blocks malware-based tampering, is one factor supporting demand.

Electronics (Mikio Hirakawa)

Jul-Sep 2026 results preview

We estimate aggregate Jul-Sep 2026 operating profit for the six electronics companies under our coverage at ¥1,194bn, up 25% YoY. We expect growth to be driven by (1) Panasonic (6752), on restructuring-led margin improvement and data center-related growth; (2) Hitachi (6501), on Energy growth; (3) Mitsubishi Electric (6503), on strength in factory automation (FA) and infrastructure; and (4) Sony (6758), supported by the success of Spider-Man.

Key points at results briefings are (1) the scale of expected guidance hikes excluding Sharp (6753), particularly versus market expectations; (2) Panasonic's 2Q data center-related performance and potential full-year guidance revision; and (3) the extent of margin improvement at Hitachi Energy.

Oct-Dec 2026 outlook

As in Jul-Sep 2026, we expect broadly solid earnings, except for Sharp, which continues to face yen depreciation and higher component costs. At Sony, the key focus is the 19 November launch of major third-party game title GTA6.

Other Oct-Dec 2026 events include (1) Hitachi Energy Investor Day on the evening of 1 November UK time and (2) Panasonic Investor Day on 14 December. At Hitachi Energy Investor Day, focus will be on whether the company raises its FY3/31 EBITA margin target of 16-20%, given recent solid margin improvement. Panasonic plans to discuss the direction of its Solutions business, which is expected to become a core business over the medium to long term.

Stock to watch: Panasonic (6752)

Panasonic is our stock to watch in electronics. Our Buy thesis centers on restructuring-led margin improvement and earnings growth driven by data center-related businesses. Market earnings expectations have risen since the positive-surprise 1Q results, but valuation remains inexpensive at 16x our FY3/28E PER. Continued stable quarterly results should further narrow the valuation discount. Over the medium- to long-term, we focus on further capital-efficiency measures, including additional restructuring.

Precision and imaging (Mayako Ouchi)

Jul-Sep 2026 results preview

We expect aggregate Jul-Sep 2026 operating profit for the six precision and imaging companies under our coverage to decline 1% YoY to roughly ¥171bn. We expect profit growth at HOYA (7741), driven by a recovery in EUV-related investment and expanding nearline HDD demand from AI servers, and at Tokyo Seimitsu (7729), which continues to benefit from advances in HBM generations. However, we expect Canon (7751) to report lower profit due to weakness in the office MFP (Multifunction Printer) market, offsetting gains at those companies.

Oct-Dec 2026 outlook

We expect generally solid earnings trends among small- and mid-cap SPE companies with high exposure to AI and data center demand. Key stock-selection themes should be the ability to secure components to meet strong customer demand and the extent to which higher component costs can be passed through to customers. Following ULVAC's (6728) indication of component-related constraints at Apr-Jun 2026 results, procurement capabilities could also come under scrutiny at Tokyo Seimitsu as it rapidly expands production capacity.

For imaging companies Nikon (7731) and Canon, we remain cautious given limited prospects for significant demand growth in core markets such as cameras and MFPs, while yen appreciation could become an additional earnings headwind.

Stock to watch: JEOL (6951)

JEOL (6951) is our stock to watch for Oct-Dec 2026. Following its end-November results briefing, we expect investor focus to shift toward (1) a recovery in multi-beam mask writer orders from 2H FY3/27 as inquiries expand among memory customers, (2) greater profit contribution from optical module-related products from 4Q, and (3) improved profitability from new microscope products expected to contribute meaningfully from FY3/28.

We believe JEOL is well positioned to capture demand across a wide range of applications. In addition, its product portfolio requires relatively few components, reducing supply-constraint risk versus peers. We expect the market to increasingly recognize these advantages.

Semiconductors/SPE (Mikio Hirakawa)

Jul-Sep 2026 results preview

We estimate aggregate Jul-Sep 2026 operating profit for the four major SPE companies under our coverage, Disco (6146), Lasertec (6920), SCREEN (7735) and Tokyo Electron (8035), at ¥396bn, up 57% YoY. We expect Tokyo Electron and SCREEN to drive growth, benefiting from higher capex in both memory and logic/foundry. We see scope for FY3/27 guidance hikes at Tokyo Electron and SCREEN. For Kioxia (285A), we expect 2Q operating profit of ¥1,939bn, up 23x YoY, driven by higher ASP.

Key points at Jul-Sep 2026 results and briefings are (1) whether Kioxia announces a share buyback and its size, and (2) the extent of Tokyo Electron's margin improvement from higher pricing. For Lasertec's FY6/27 order guidance of ¥300-400bn, we expect the lower end to be raised but see limited scope for an increase in the upper end.

Oct-Dec 2026 outlook

We expect SPE earnings to improve across the sector in Oct-Dec 2026. However, following the share-price rally since late-August, near-term valuations look somewhat stretched. We see downside risk if (1) Disco's Oct-Dec 2026 shipment guidance falls below sell-side expectations of ¥148bn, or (2) Tokyo Electron's FY3/27 operating profit guidance remains conservative at around ¥1tn without clear margin improvement from higher pricing in 2H FY3/27.

For Kioxia, we expect Oct-Dec 2026 guidance to call for ASP growth of 5-10% QoQ and shipment volume growth of 8-9% QoQ.

Stocks to watch: Kioxia (285A) and Renesas (6723)

Our stocks to watch in Semiconductors/SPE for Oct-Dec 2026 are Kioxia (285A) and Renesas (6723). Despite various market speculation, we estimate Kioxia's 2Q results were in line with company guidance. Micron's (MU) September 30 results increased our confidence in this view. We expect the share-price performance gap versus SanDisk (SNDK) to narrow once Kioxia outlines its overall capital allocation and shareholder-return policy

At Jul-Sep 2026 results, we expect another roughly ¥800bn share buyback, following a similar buyback in Apr-Jun 2026. However, we believe the full shareholder-return framework is more likely to be disclosed at FY3/27 full-year results.

For Renesas, we expect 3Q Jul-Sep operating profit to come in slightly above company guidance, while 4Q operating margin guidance should indicate a QoQ decline and remain conservative. A key event is Texas Instruments' (TXN) results at 5:30am JST on 22 October. Strong results that increase investor focus on AI power growth and a recovery in automotive semiconductors could provide a catalyst for Renesas shares.

Electronic Components (Masashi Kubota)

Jul-Sep 2026 results preview

We estimate aggregate 2Q FY3/27 operating profit for the 14 March year-end companies under our coverage at ¥482.1bn, up 23% YoY/19% QoQ. Orders remained strong in Jul-Sep 2026, continuing the trend from Apr-Jun 2026. Growth in AI server orders, seasonal iPhone demand and solid automotive demand from increasing electrification supported orders. Although the yen strengthened somewhat toward quarter-end, the average USD/JPY rate remained weaker than company assumptions, providing an earnings tailwind.

Oct-Dec 2026 outlook

Electronic Components stocks, particularly AI-related names, have corrected since late-June. In Apr-Jun 2026, expectations for price increases in some components, particularly multilayer ceramic capacitors (MLCCs), drove a sharp rally. Since then, concerns over a future slowdown in hyperscaler cloud investment and stretched valuations have led to a significant correction in AI hardware stocks.

However, fundamentals remain solid, supported by strong orders, while valuation premiums have narrowed. Some stocks now even appear inexpensive relative to their earnings outlook. We therefore believe the sector is shifting from the expectation-driven rally in Apr-Jun 2026 toward a more fundamentals-focused phase. Key stock-selection factors for 2H include (1) competitiveness in AI-related electronic components, (2) sustained strength in existing applications such as IT devices and automotive, and (3) company-specific earnings drivers including restructuring and M&A.

Stock to watch: TDK (6762)

TDK (6762) is our stock to watch in electronic components for Oct-Dec 2026. Its valuation looks relatively inexpensive among major Electronic Components companies, while we expect fundamentals to improve faster from 2H FY3/27. Key earnings drivers are (1) accelerating demand for passive components for AI data centers, including MLCCs, inductors and aluminum electrolytic capacitors, (2) higher HDD magnetic-head volumes and improved profitability, and (3) the start of mass production of BBU batteries. Collaboration with Taiyo Yuden (6976) in Electronic Components should also contribute. TDK has broadly achieved the key KPIs in its current medium-term plan ending FY3/27, which should increase expectations for its new medium-term plan starting FY3/28.

Beyond TDK, we continue to highlight Murata Mfg (6981), where growing AI server MLCC demand and mix improvement should drive a significant margin increase; Ibiden (4062), supported by continued growth in semiconductor package substrate demand; and Rohm (6963), which should benefit from a recovery in power semiconductors, including SiC devices.

Exhibit 15: Technology team coverage list
Investment ratings and POs for each company

	Company name	BofA Ticker	Rating	QRQ	Price (as of Oct 20)	ADR ($)	Analyst
4062	Ibiden	IBIDF	BUY	C-1-7	9,167	-	Masashi Kubota
4307	Nomura Research Institute	NURAF/NRILY	BUY	B-1-7	5,946	37.30	Hideaki Tanaka
4684	Obic	OBIIF/OBICY	BUY	B-1-7	5,742	17.88	Hideaki Tanaka
4716	Oracle Japan	OCLCF	BUY	B-1-7	10,120	-	Hideaki Tanaka
4733	Obic Business Consultants	OBIBF	BUY	B-1-7	9,253	-	Hideaki Tanaka
5334	Niterra	NGKSF	BUY	B-1-7	3,536	-	Masashi Kubota
6146	DISCO	DISPF	BUY	C-1-7	52,630	-	Mikio Hirakawa
6479	MinebeaMitsumi	MNBEF	BUY	C-1-7	3,260	-	Masashi Kubota
6501	Hitachi	HTHIF/HTHIY	BUY	C-1-7	5,810	36.22	Mikio Hirakawa
6503	Mitsubishi Electric	MIELF	BUY	B-1-7	4,852	-	Mikio Hirakawa
6532	Baycurrent	BYCRF	BUY	C-1-7	10,845	-	Hiromu Yabuki
6701	NEC	NIPNF	BUY	C-1-7	5,349	-	Hideaki Tanaka
6702	Fujitsu	FJTSF/FJTSY	BUY	C-1-7	4,391	27.51	Hideaki Tanaka
6723	Renesas Electronics	RNECF	BUY	C-1-7	2,954	-	Mikio Hirakawa
6728	ULVAC	ULVAF	BUY	C-1-8	7,751	-	Mayako Ouchi
6752	Panasonic	PCRFF	BUY	B-1-7	3,878	-	Mikio Hirakawa
6754	Anritsu	AITUF	BUY	C-1-7	2,914	-	Mikio Hirakawa
6758	Sony Group Corporation	SNEJF/SONY	BUY	B-1-7	3,960	24.77	Mikio Hirakawa
6762	TDK	TTDKF/TTDKY	BUY	C-1-7	2,834	18.35	Masashi Kubota
6857	Advantest	ADTTF	BUY	C-1-7	33,870	-	Mikio Hirakawa
6920	Lasertec	LSRCF	BUY	C-1-7	39,190	-	Mikio Hirakawa
6951	JEOL	XJEOF	BUY	B-1-7	6,874	-	Mayako Ouchi
6963	Rohm	ROHCF	BUY	C-1-7	3,903	-	Masashi Kubota
6981	Murata Mfg	MRAAF	BUY	C-1-7	6,643	-	Masashi Kubota
6996	Nichicon	NCHNF	BUY	C-1-7	2,249	-	Hazel Xue
7729	Tokyo Seimitsu	TMIUF	BUY	C-1-7	16,845	-	Mayako Ouchi
7741	HOYA	HOCPF/HOCPY	BUY	B-1-7	25,990	160.82	Mayako Ouchi
8035	Tokyo Electron	TOELF	BUY	C-1-7	10,085	-	Mikio Hirakawa
268A	Rigaku Corporation	RGAKF	BUY	C-1-7	1,440	-	Mikio Hirakawa
285A	KIOXIA	XIYUF	BUY	C-1-9	13,140	-	Mikio Hirakawa
3626	TISI	TISNF	NEUTRAL	B-2-7	4,393	-	Hideaki Tanaka
4704	Trend Micro	TMICF	NEUTRAL	B-2-7	6,700	-	Hideaki Tanaka
6806	Hirose Electric	HRSEF	NEUTRAL	B-2-7	23,900	-	Masashi Kubota
6908	Iriso Electronics	IREEF	NEUTRAL	B-2-7	2,679	-	Hazel Xue
6988	Nitto Denko	NDEKF	NEUTRAL	B-2-7	3,627	-	Masashi Kubota
6997	Nippon Chemi-Con	XSZNF	NEUTRAL	C-2-7	1,674	-	Hazel Xue
7731	Nikon	NINOF	NEUTRAL	B-2-7	1,724	-	Mayako Ouchi
7735	SCREEN Holdings	DINRF	NEUTRAL	C-2-7	12,805	-	Mikio Hirakawa
7751	Canon	CAJFF	NEUTRAL	A-2-7	4,807	-	Mayako Ouchi
8056	BIPROGY	NTULF	NEUTRAL	B-2-7	5,044	-	Hideaki Tanaka
2327	NS Solutions	NSSXF	UNDERPERFORM	B-3-7	4,118	-	Hideaki Tanaka
4768	Otsuka Corp	OSUKF	UNDERPERFORM	B-3-7	4,218	-	Hideaki Tanaka
6504	Fuji Electric	FELTF	UNDERPERFORM	B-3-7	13,420	-	Mikio Hirakawa
6592	Mabuchi Motor	MBUMF	UNDERPERFORM	B-3-7	1,731	-	Masashi Kubota
6753	Sharp	SHCAF	UNDERPERFORM	B-3-9	591	-	Mikio Hirakawa
6770	Alps Alpine	APELF/APELY	UNDERPERFORM	B-3-7	2,091	26.72	Masashi Kubota
6807	Japan Aviation	JPAVF	UNDERPERFORM	B-3-8	2,658	-	Masashi Kubota
6971	Kyocera	KYOCF	UNDERPERFORM	B-3-7	3,515	-	Masashi Kubota
6976	Taiyo Yuden	TYOYF	UNDERPERFORM	C-3-7	9,095	-	Masashi Kubota

Source: BofA Global Research

BofA GLOBAL RESEARCH

Price objective basis & risk

NS Solutions (2327 / NSSXF)
Our price objective of ¥3,400 is based on our FY3/28 EPS estimate of ¥189.6 and a target P/E multiple of 18x. The 18x multiple corresponds to one standard deviation below the stock's average forward P/E over the past three years and is also towards the lower end of its five-year forward P/E range of 13x-28x. However, the stock has traded at above 20x forward P/E only since August 2024, following the disclosure of a large shareholding by an activist investor. Taking this into account, as well as recent market conditions, we believe an 18x multiple is appropriate.

The key upside risks to our price objective are (1) a full acquisition by the parent company, (2) a premium being attached in the event the parent company sells down its stake, (3) sustained and significant order growth, (4) a substantial increase in IT investment by the parent company, and (5) the success of the business model transformation, resulting in profitability improving more than we expect.

The main downside risks to our price objective are (1) an activist investor selling its stake in the company, (2) a decline in IT investment by the parent company, and (3) weaker-than-expected order intake.

Rigaku Corporation (268A / RGAKF)
Our ¥2,700 price objective for Rigaku is based on 32x FY12/27E P/E, in line with the average of global semiconductor process control peers.

Downside risks are (1) lower semiconductor capex due to weaker AI demand, (2) delays in X-ray metrology demand due to slower technology development, and (3) volatility in semiconductor equipment demand due to geopolitical risks. Upside risks are (1) stronger-than-expected X-ray metrology demand driven by semiconductor scaling and increasing complexity, (2) faster market share gains supported by enhanced product development, and (3) further yen depreciation.

KIOXIA (285A / XIYUF)
Our ¥30,000 PO is based on a P/E of 9.5x on our FY3/27 EPS estimate, in line with the industry average during a memory upcycle.

Upside risks are (1) successful ramp-up of high-capacity SSDs using BiCS8 QLC, driving share gains in the enterprise SSD market, (2) stronger-than-expected market expansion, and (3) dividend initiation supported by balance sheet improvement.

Downside risks are (1) a sharp slowdown in data center investment due to power constraints, (2) deterioration in NAND supply-demand driven by capex competition, and (3) margin pressure from rising component costs such as DRAM.

Money Forward (3994 / MNYFF)
Our price objective (PO) of ¥7,700 is based on a 10-year discounted cash flow (DCF) model covering FY11/26-FY11/35. We apply a weighted average cost of capital (WACC) of 8.0%, assuming a risk-free rate of 3.1%, a risk premium of 5.0%, and a terminal growth rate of 0%. We value the company's medium- to long-term profit growth potential, not just its near-term profits. Because short-term metrics such as P/E cannot capture its medium-term profit growth and cash generation, we use DCF to derive our PO.

Upside risks are 1) stronger-than-expected key performance indicators (KPIs), such as net customer additions, average revenue per account (ARPA), and churn rate, 2) faster-than-expected expansion of AI Cowork/Fintech, and 3) M&A announcements that strengthen its product portfolio.

Downside risks are 1) slower ARR growth or lower ARR acquisition efficiency due to intensifying competition in the mid-sized back-office market, 2) a weaker-than-expected launch of AI Cowork/Fintech, and 3) incidents that hinder business expansion (e.g., the security incident in May 2026).

Ibiden (4062 / IBIDF)

Our PO for Ibiden is ¥13,000. The PO is based on a P/E of 40x our FY3/29 estimate, a level significantly above the historical peak of 34x during previous earnings expansion phases. However, we believe such a premium multiple is justified in the near term, as the share price already appears to be discounting the company's medium-term profit target for FY3/31. We forecast EPS CAGR of 40% over the next five years (excluding one off factors). Profitability in the CPU package business for a major North American semiconductor maker is also improving, and the earnings trend is becoming increasingly stable. Growth in GPU package substrates remains the core investment theme, while future expansion of package substrates for ASIC and the start of operations at the Gama plant for leading-edge substrates are also expected. Downside risks to our PO are (1) a larger than expected decline in IC package demand due to weakness in the data center market or contraction in the PC market, and (2) temporary production weakness during the ramp up of mass production for new GPU package substrate products.

Nomura Research Institute (4307 / NURAF / NRILY)

We derive our ¥6,100 price objective (ADR: US$39.35) by applying a FY3/28E P/E of 25x to our FY3/28 EPS forecast of ¥242.3. The 25x multiple corresponds to the three-year average forward P/E minus 1σ, and compares with the past five-year forward P/E range of 18-39x. While we expect earnings to remain solid, this implies a historically low valuation. However, in light of recent market dynamics we view this level as appropriate.

Upside risks to our price objective are (1) stronger-than-expected domestic order growth, (2) greater-than-expected improvement in gross margins, (3) better visibility on the overseas business outlook, and (4) additional share buybacks.

Downside risks are (1) weaker domestic orders, and (2) supply-demand deterioration due to share sales by the largest shareholder.

Obic (4684 / OBIIF / OBICY)

We derive our ¥5,900 price objective (ADR: $38.06) by applying a P/E of 27x to our FY3/28 EPS forecast of ¥218.3. The 27x multiple corresponds to the three-year average forward P/E minus one standard deviation (with the five-year forward P/E range at 19-47x). While this represents a relatively low level versus historical valuations despite solid earnings performance, we view this as appropriate in light of recent equity market conditions.

Upside risks to our price objective are (1) acceleration in revenue growth in system integration (SI), and (2) further expansion of shareholder returns.

Downside risks to our price objective are (1) revenue declines in SI, and (2) a halt in gross margin improvement.

Trend Micro (4704 / TMICF)

We derive our price objective of ¥6,600 by applying a P/E of 22x to our FY12/27 EPS estimate of ¥301.8. A P/E of 22x corresponds to the average of the past three years' forward P/E minus 1 standard deviation. While we expect an improvement in the annual recurring revenue (ARR) growth rate, we believe further valuation upside would require confirmation of improved revenue growth momentum and the resolution of cost increase concerns, for now, we view valuation at this level as appropriate. The forward P/E range over the past five years has been 17-39x, but the periods in which the P/E

significantly exceeded 30x coincided with large shareholding reports from activist investors, and we therefore view the effective range as approximately 17-31x.

Upside risks to our price objective are (1) a substantial acceleration in ARR growth, (2) an acceleration in revenue growth momentum, (3) a reduction in the cloud cost burden, and (4) an acquisition of the company by another firm.

Downside risks to our price objective are (1) a decline in ARR, (2) a greater-than-expected increase in cloud costs, and (3) further intensification of competition.

Oracle Japan (4716 / OCLCF)
Our price objective of ¥12,600 is derived from our FY5/28 EPS estimate of ¥601.6 and a P/E of 21x (five-year estimated P/E range of 16-35x). A P/E of 21x corresponds to the five-year average estimated P/E minus 0.5 standard deviation. Although this represents a conservative valuation from a historical perspective, we consider this level appropriate in light of market trends such as the Anthropic Shock.

Upside risks to our price objective are (1) cloud services revenue growth exceeding market expectations, (2) substantial revenue growth in software licenses, (3) announcement of a clear and high dividend payout ratio policy, and (4) full acquisition as a wholly owned subsidiary by the parent company.

Downside risks to our price objective are (1) a marked slowdown in cloud services revenue growth, and (2) profitability deterioration due to a substantial decline in software license revenue.

Obic Business Consultants (4733 / OBIBF)
We derive our ¥10,500 price objective by applying a P/E of 31x to our FY3/28 EPS forecast of ¥337.9. The target multiple is close to the three-year average forward P/E minus one standard deviation (with the five-year forward P/E range at 22-39x). While the applied P/E may appear elevated on a relative basis, adjusting for the company's projected excess cash for FY3/28 (equivalent to more than two months of sales) and investment securities implies an effective P/E of 22x. We therefore view the applied multiple as not demanding in real terms.

Upside risks to our price objective (1) Higher than expected growth in core business cloud SaaS subscriptions, (2) ROE accretive shareholder returns, including a higher payout ratio or the introduction of a DOE framework, (3) potential full acquisition by the largest shareholder.

Downside risks are (1) slower growth in core business cloud SaaS subscriptions, (2) intensifying competition.

Otsuka Corp (4768 / OSUKF)
Our price objective of ¥3,200 is based on our FY12/27 EPS estimate of ¥177.2 and a P/E multiple of 18x. The 18x multiple corresponds to approximately one standard deviation below the average forward P/E over the past three years (with the forward P/E ranging between 16x and 26x over the past five years). While this valuation is at the lower end of the historical range, we believe it is appropriate given the lack of strong operating profit growth momentum and recent equity market conditions.

We see two upside risks to our price objective. (1) Earnings growth momentum accelerates despite absorbing the negative impact from the normalization of Windows 10 refresh demand. (2) The company announces share buybacks.

We see two downside risks to our price objective. (1) Revenue growth turns negative. (2) Gross margin deteriorates more than we currently anticipate.

Niterra (5334 / NGKSF)
Our PO of ¥5,600 is based on a P/E of 17x our FY3/28 estimate. A P/E of 17x corresponds to the upper end of the company's P/E range over the past 10 years, excluding the FY3/21 to FY3/23 period when valuation declined significantly due to concerns over contraction of the internal combustion engine business amid expansion of the BEV market. In the short term, plug price increases and share gains could provide upside to profitability in the automotive components business. Delays in the global shift to EVs are also positive for ICE related businesses. We also focus on the earnings impact from expansion of electrostatic chucks and the acquisition of Toshiba Materials. Over the medium-term to long term, demand for plugs and sensors is still expected to slow as the EV market expands. However, given the company's high profitability, we believe achieving a P/E at the upper end of its historical range is fully achievable. Downside risks to our PO are (1) a faster than expected contraction in the automotive components business associated with EV market expansion, (2) delays in expanding new businesses such as fuel cells, and (3) yen appreciation.

DISCO (6146 / DISPF)
We assign a PO of ¥88,000 to Disco based on FY3/28 P/E of 41x, which is on par with the average of two back-end-of-line (BEOL) competitors and is within Disco's historical range of 13-50x. We consider this multiple appropriate given the new upcycle of earnings growth.

Upside risks to our PO are (1) stronger-than-expected AI-related demand, (2) recovery in equipment sales for smartphones, and (3) yen depreciation.
Downside risks are (1) SPE market deterioration due to abrupt changes in the external environment, (2) yen appreciation, and (3) margin erosion caused by competition flaring up unexpectedly.

MinebeaMitsumi (6479 / MNBEF)
Our PO of ¥5,100 is calculated using the SOTP approach based on our FY3/28 EV/EBITDA estimates. For the PT segment, which includes the core ball bearing (BB) business, we apply a multiple of 12x, equivalent to the upper end of the company's past 10 year EV/EBITDA range, reflecting its strong competitiveness and high profitability in the BB market. For the MLS segment, we apply a multiple of 10x, close to the past 10 year average, reflecting both the expansion potential of the motor business and its margin profile. For the SE segment, although expansion in the analog semiconductor business should support growth, short term earnings momentum remains weak, and we apply a multiple of 8x, slightly below the historical average. For the automotive related AS segment, we apply a multiple of 5x, below the lower end of the past 10 year range, reflecting its low profitability. Downside risks to our earnings estimates and PO are (1) prolonged auto production cuts due to semiconductor shortages, (2) a faster than expected contraction in LED backlights in the MLS segment than our assumptions, (3) contraction in the SE segment, including camera actuators and mechanical components, driven by saturation in the smartphone and game console markets, and (4) deterioration in asset efficiency and a decline in ROE resulting from M&A.

Hitachi (6501 / HTHIF / HTHIY)
Our ¥7,000 price objective (ADR: US$45.16) is based on an SOTP valuation using FY3/28E EV/EBITDA. We apply 13x to Digital, around 1pt premium to solution-oriented peers, reflecting digital growth opportunities across infrastructure including Energy. We apply 20x to Energy, in line with peers: 9x to Mobility, around 5pt premium reflecting its digitalization strategy, and a peer-level multiple to CI.

Downside risks are (1) faster-than-expected AI substitution of existing IT services, (2) greater-than-expected earnings pressure from higher component costs, (3) earnings deterioration from macroeconomic changes or geopolitical risks, and (4) unexpected project losses. Upside risks are (1) faster Lumada and HMAX sales growth, (2) stronger-

than-expected sales and margin improvement at Hitachi Energy, (3) faster-than-expected CI margin improvement through portfolio restructuring, and (4) greater shareholder returns supported by the improved balance sheet and cash flow.

Mitsubishi Electric (6503 / MIELF)
Our ¥6,700 PO is based on an SOTP valuation using FY3/28 estimates and EV/EBITDA multiples.

We apply 14x EV/EBITDA to Infrastructure, reflecting growth in Defense and Power. For FA, we use 18x, in line with the average of three domestic peers. We apply 6x to Automotive Equipment, reflecting improving profitability and consistent with domestic peers, and 13x to Life, in line with global peer averages. Digital Innovation is valued at 9x, broadly in line with domestic peers. For Semiconductor & Devices, we apply 18x, representing a 6-8ppt premium to peers, reflecting the growth potential of optical devices.

Upside risks to our PO are (1) further portfolio reform driving earnings growth, (2) stronger Defense business expansion, and (3) enhanced shareholder returns. Downside risks (1) a slowdown in cyclical businesses, including FA, due to weaker global economic conditions, (2) greater-than-expected raw material inflation, and (3) broader impacts from the Iran conflict.

Fuji Electric (6504 / FELTF)
Our ¥13,000 price objective is based on an SOTP valuation using FY3/28E EV/EBITDA. We apply 11x to Energy, in line with Japanese peers.10x to Industry, around1pt discount reflecting differences in earnings growth outlook. 6x to Semiconductors, around 5pt discount to US peers reflecting differences in scale and customer base, and 6.5x to Food Distribution, in line with peers given profitability.

Upside risks are (1) expansion in power electronics and renewable energy businesses driven by environmental needs and (2) an earlier ramp-up and stronger sales growth in the SiC power semiconductor business. Downside risks are (1) market share losses due to changes in the competitive environment and (2) weaker demand for power electronics equipment due to an economic slowdown caused by geopolitical risks and other factors.

Mabuchi Motor (6592 / MBUMF)
Our PO for Mabuchi Motor is ¥1,450, based on a P/E of 16x our FY12/27 EPS estimate. This corresponds to the lower end of the company's past 10 year average range. Upside risks are (1) an earlier than expected recovery in automobile production and (2) stabilization of the uptrend in commodity prices. Downside risks are automobile production trends falling below our expectations. In addition, delays in the recovery of automobile production trends due to prolonged tariff impacts could lead to further downside for both earnings and the share price.

NEC (6701 / NIPNF)
The price objective of ¥7,000 is based on our FY3/28E EPS of ¥267.5 and a P/E of 26x. This multiple is above the midpoint of the historical five-year forward P/E range of 11-30x. We view this valuation as justified, reflecting the visibility of structural reform benefits, progress in improving IT services profitability, and expansion in defense-related businesses.

Upside risks to our price objective are (1) stronger-than-expected margin expansion and increased domestic IT services orders, (2) clearer quantitative upside from AI utilization, (3) expansion of the defense budget, (4) M&A with clear synergies, and (5) an earlier recovery and growth in the subsea cable business.

Downside risks to our price objective are (1) a slowdown in margin improvement and (2) weak domestic IT services order trends.

Fujitsu (6702 / FJTSF / FJTSY)
Price objective of ¥5,000 (ADR: $32.26) is based on our FY3/28E EPS of ¥209.3 and a P/E of 24x. The 24x multiple reflects an approximately 10% discount to peers (26x), taking into account relative growth prospects. We view this valuation as justified given strong earnings growth and solid shareholder returns. While 24x is close to the upper end of the past five-year forward P/E range (12-25x), the historically low ceiling was driven by the inclusion of non-core earnings and gains from divestitures of subsidiaries and affiliates.

Upside risks to our price objective are: (1) Sustained strong revenue growth in service solutions, (2) Clear evidence of quantifiable upside from AI deployment, (3) Limited compensation costs related to the UK Post Office issue

Downside risks are: (1) Weak domestic order intake, (2) Company guidance with significant downside risk, and (3) Compensation costs related to the UK Post Office issue materially exceeding market expectations

Renesas Electronics (6723 / RNECF)
We set our price objective (PO) at ¥4,800 for Renesas. Our PO is based on an EV/EBITDA multiple of 13x applied to our FY12/27 EBITDA (Non-GAAP) forecast. The 13x multiple is broadly in line with the average valuation of global peers.

Upside risks to our PO are: (1) Stronger-than-expected Data Center revenue growth driven by market expansion or share gains, (2) greater improvement in pricing and cost structure, (3) a faster-than-expected recovery in the Automotive semiconductor market, (4) stronger-than-expected revenue synergies from acquired businesses, (5) market share gains in growth areas such as ADAS and EVs, and (6) enhanced shareholder returns. Downside risks are: (1) Weaker semiconductor demand caused by a sharper-than-expected slowdown in global auto production or macroeconomic conditions, (2) asset impairment resulting from acquired businesses underperforming expectations, and (3) lower earnings due to yen appreciation.

ULVAC (6728 / ULVAF)
Our price objective (PO) of ¥8,300 is based on SOTP valuation using EV/EBITDA multiples and our FY6/28 estimates. Subsegment operating profit and depreciation are based on our estimates.

We use a multiple of 9.0x for the semiconductor and electronic device production equipment business, applying 50% discount to major film deposition equipment competitor to reflect Ulvac's low market share compared with competitors and limited product categories.
We use a multiple of 5.0x for the EV battery business, applying 50% discount to major EV battery makers. We use a multiple of 7.6x for other businesses, adding one standard deviation to Ulvac's companywide average multiple from August 2010 to August 2020.

Upside risks to our PO include a faster-than-expected resolution of component shortages, a renewed expansion in China power semiconductor demand and stronger-than-expected growth in battery-related demand driven by faster electric vehicle adoption.
Downside risks include a more prolonged component shortage than anticipated, weaker end-product demand resulting from elevated memory prices, as well as market share losses in memory applications due to changes in competing product specifications.

Panasonic (6752 / PCRFF)

Our ¥5,500 PO is based on an SOTP valuation using FY3/28E EV/EBITDA multiples. We apply 10x EV/EBITDA to Connect, representing a 3-4ppt discount to global industrial and defense peers to reflect uncertainty surrounding Blue Yonder. For Electric Works, we apply 9x, in line with the average of global wiring device and lighting peers, reflecting its growth profile. We use 6x for HVAC & CC, representing an approximately 2ppt discount to global HVAC leaders to reflect differences in scale and profitability. For Energy, we apply 19x, in line with Taiwanese power supply and electrical equipment peers, reflecting the competitiveness and growth potential of its data center energy storage business. For Industry, we apply 16.5x, in line with global capacitor-related peers, reflecting the growth and profitability of its AI-related businesses. Smart Life is valued at 6x, in line with the average multiple of global home appliance companies.

Downside risks to our PO are (1) a slowdown in data center investment, (2) prolonged weakness in consumer spending due to a stagnant domestic economy, and (3) lower profitability in the battery business due to more intense competition than expected. Upside risks are (1) greater-than-expected profitability improvement from restructuring initiatives, (2) further optimization of the business portfolio, and (3) earnings improvement at Blue Yonder.

Sharp (6753 / SHCAF)

We set a PO of ¥500 for Sharp, applying an 8x P/E to our FY3/28 EPS, a 30% discount to the global home appliance peer average to reflect its lower earnings growth profile. Upside risks are (1) greater-than-expected overseas sales growth and profitability improvement in the smart life segment (white goods), (2) bigger-than-anticipated benefits from structural reform in the smart workplace segment, and (3) a boost to profit from yen appreciation. Downside risks are (1) weak sales in the brand business due to economic deceleration, (2) decreased profitability resulting from intensifying competition, and (3) a drain on profit from yen depreciation.

Anritsu (6754 / AITUF)

Our PO for Anritsu is ¥4,700, based on a 30x FY3/28 PER. We believe a 30x multiple is appropriate as it is broadly in line with the peak valuation reached during the previous cycle on a 12-month forward PER basis.

Downside risks to our PO include (1) slower-than-expected data center demand, (2) delays in 6G development, and (3) market share loss or margin deterioration due to intensifying competition. Upside risks include (1) an earlier-than-expected rollout of 3.2T transceiver development driven by surging AI-related data traffic, (2) stronger-than-expected expansion of the 800G/1.6T transceiver market, and (3) large-scale share buybacks.

Sony Group Corporation (6758 / SNEJF / SONY)

Our ¥4,800 price objective for Sony is based on an SOTP valuation using FY3/27E EV/EBITDA. We apply 15x to Games, in line with peers: 11x to Music, a 1pt premium to global leading peers reflecting streaming sales momentum, and 11x to Movies, a 1pt discount to major US content peers reflecting differences in IP. We apply 6.5x to ET&S (Hardware), a 1pt premium to overseas peers reflecting strong earnings management, and 7x to I&SS (Semiconductors), around 3pt premium to major Korean memory peers reflecting its lower commodity exposure.

Downside risks are (1) weaker CMOS image sensor (CIS) demand due to a smartphone slowdown, (2) a further rise in memory prices, and (3) further US dollar/euro appreciation. Upside risks are (1) successful first-party game titles, (2) an earlier smartphone market recovery, and (3) stronger-than-expected growth in content distribution over networks.

TDK (6762 / TTDKF / TTDKY)

Our PO for TDK is ¥4,100 ($27.33/ADR), based on a P/E of 26x our FY3/28 EPS estimate. This corresponds to the upper end of the historical P/E range. In addition to (1) the medium-term to long-term expansion potential of the battery business, (2) profitability upside in passive components, centered on automotive applications, and (3) an improving profitability outlook for magnetic application products, expansion in AI related businesses is becoming increasingly evident. We therefore believe achieving a multiple around the historical upper end is fully achievable. Downside risks to our PO are (1) an accelerating slowdown in the growth rate of the battery business, (2) rising inventories and slowing component demand in the HDD market, and (3) a slower than expected pace of profit expansion in the sensor business, particularly for automotive applications.

Alps Alpine (6770 / APELF / APELY)

Our PO for Alps Alpine is ¥2,100 ($28.00/ADR). It is derived using the SOTP approach based on our FY3/28 EV/EBITDA estimate by segment. For the component business, we apply 5.0x, slightly above the company's 10 year historical average EV/EBITDA, reflecting solid demand for electronic components. For the mobility business and sensor and communication business, we apply below average multiples of 3.0x and 2.0x, respectively, given their low profitability. Upside risks to our PO are (1) profitability improvement in the mobility business exceeding our estimates and (2) share recovery in the camera actuator market. We also focus on the potential for corporate actions triggered by shareholder proposals as a catalyst. On the other hand, further downside risks are (1) continued increases in costs such as raw materials and energy prices and (2) an acceleration in the pace of contraction in the camera actuator business.

Hirose Electric (6806 / HRSEF)

Our PO for Hirose Electric is ¥28,300. Our PO is based on a P/E of 23x our FY3/28 estimate. This represents a level approximately 10% above the company's five-year average P/E of 21x. We believe this valuation is justified given the ongoing earnings growth trend driven by solid connector demand from the industrial equipment and automotive markets. Downside risks to our earnings forecasts and PO are (1) a further increase in gold and copper prices from current levels, (2) an accelerated slowdown in connector demand for smartphones, and (3) weaker demand for connectors in the industrial equipment market. Upside risks are (1) continued improvement in connector orders for the industrial equipment market beyond our assumptions, (2) a transition toward a rising companywide margin trend driven by improved profitability in automotive connectors, and (3) a rapid expansion in earnings contribution from AI-related businesses.

Japan Aviation (6807 / JPAVF)

Our PO for Japan Aviation Electronics Industry is ¥2,110. The PO is based on a P/E of 15x our FY3/28 estimate. A P/E of 15x corresponds to the company's 10 year average P/E. While this is significantly below the electronic components sector average, it is a reasonable level given low liquidity due to Kyocera's ownership of over 30% and the slowdown in sales trends for the smartphone market. Upside risks to our PO are (1) stronger than expected expansion in connector sales for the automotive and industrial equipment markets, and (2) faster than expected realization of synergies with Kyocera. On the other hand, further downside risks are (1) prolonged weakness in the smartphone market, (2) delays in the recovery of orders for the industrial equipment market, and (3) yen appreciation.

Advantest (6857 / ADTTF)

Our PO of ¥34,000 is derived by applying a P/E multiple of 31x our FY3/28 EPS estimate. This multiple is at the upper end of the stock's historical 24-month forward P/E range. Given that the company is delivering record-high earnings, we believe this is an appropriate level for assessing its medium-term fair value.

Upside risks to our price objective are (1) higher-than-expected AI-related testing

demand and (2) higher testing value-added in manufacturing processes than we expect due to increasingly complicated semiconductors.
Downside risks are (1) a slowdown in smartphone demand and (2) loss of Advantest's current dominant position in the HPC testing market (including AI chips) due to the rapid advance of competitors.

Iriso Electronics (6908 / IREEF)
Our PO of ¥3,550 is based on a P/E of 15x our FY3/28 EPS estimate. We apply a level corresponding to the lower end of the company's past 10-year average P/E range. This level also reflects short-term risks of a slowdown in growth in the automotive connector business, as well as the possibility of continued weakness in industrial and consumer applications. Downside risks to achieving our PO are (1) a slowdown in automobile sales due to deterioration in the macro environment and (2) slower-than-expected adoption of electric vehicles. On the other hand, upside risks include (1) an early recovery in the EV market and (2) accelerated margin improvement driven by the implementation of cost reduction initiatives.

Lasertec (6920 / LSRCF)
The price objective for Lasertec is ¥49,000, based on applying a 29x FY6/28 P/E. The multiple represents a 15% discount to the approximately 34x average P/E for FY12/27 and FY12/28 embedded in our price objectives for EUV lithography tool manufacturers. This discount reflects differences in entry barriers between the EUV lithography tool market and the EUV mask inspection tool market.

Upside risks are: 1) accelerated adoption of EUV mask inspection tools in memory applications, and 2) market share gains in the DUV light source-based mask inspection tool market.
Downside risks are: 1) new entrants into the EUV mask inspection tool market, 2) a slowdown in generative AI investment, and 3) a deceleration in the development pace of leading-edge semiconductor processes.

JEOL (6951 / XJEOF)
Our PO is ¥9,800, based on the SOTP method using EV/EBITDA on our FY3/28 earnings estimates.
In the industrial equipment segment, we use an multiple of 10.0x, 50% discount from EUV-related names. In the scientific and metrology instruments segment we use a multiple of 13.0x, which as per 2.0pt discount from the average of global competitors, considering production sites, business scale, and technological complexity of products. We also apply a conglomerate discount of 5%.

Upside risks are 1) a larger-than-expected earnings contribution from the MBMW-301, a new 2nm multi-beam mask writer, and development progress for MBMW-401/501 to follow the MBMW-301, 2) progress for EUV lithography systems at <2nm and resulting growth in advanced node capex at foundries, and 3) greater-than-expected earnings growth from the customer targeting strategy in the scientific and metrology instruments segment.

Downside risks are 1) US' stricter tariffs and export restriction, 2) a share decline in the multi-beam writer market, 3) capex delays at main foundries, 4) a decline in the required number of exposures as a result of High-NA technology enabling broader use of single patterning, 5) an end of the alliance with IMS for multi-beam mask writers, and 6) a slowdown in development investment demand at main customers in the scientific and metrology instruments segment.

Rohm (6963 / ROHCF)
Our PO of ¥7,400 is derived by adding the equity value of Rohm itself, based on an EV/EBITDA multiple of 9x our FY3/28 estimate, to the estimated future value from its

investment in a major Japanese conglomerate (¥3,300 per share), as well as the contribution from a flash memory specialist held through that conglomerate (¥1,350 per share). Downside risks to our PO are: (1) a slower than expected pace of monetization in the SiC business due to a deterioration in the competitive environment and other factors, and (2) an increase in fixed cost burdens resulting from another round of excessive investment. Meanwhile, upside risks are: (1) profitability in the SiC business improving at a pace faster than our assumptions, and (2) a positive outcome for Rohm from discussions on restructuring the power semiconductor business involving the above conglomerate and a major Japanese electronics company.

Kyocera (6971 / KYOCF)

Our PO for Kyocera is ¥3,000. The PO is derived using the SOTP approach based on our FY3/28 EV/EBITDA estimates. For the core components business, we apply 13x, the upper end of the company's historical 10 year EV/EBITDA range. For the electronic components business, we apply its historical average multiple of 11x. For the solutions business, we apply 9x, the lower end of its historical range, reflecting its relatively low profitability. Upside risks to our PO are (1) faster than expected progress in the sale of KDDI shares or the execution of large scale M&A, and (2) a recovery in demand and a significant improvement in profitability for the organic materials business and electronic components. On the other hand, further downside risks are (1) automobile and industrial equipment markets trending below our assumptions, (2) a slowdown in demand for semiconductor related businesses, and (3) an acceleration in the contraction of the document solutions business.

Taiyo Yuden (6976 / TYOYF)

Our PO for Taiyo Yuden is ¥8,400. The PO is based on a P/E of 20x our FY3/29 estimate. This is approximately 10% above the company's 10 year average P/E of 18x, reflecting expanding MLCC demand for AI servers. However, profitability remains at a low level due to the burden of fixed costs and weak productivity in MLCC production for AI servers. As we do not expect a significant improvement in profitability from next fiscal year onward, we believe it will be difficult for the stock to achieve valuation multiples close to past peak levels. Upside risks to our PO are (1) productivity improvement in MLCCs for AI servers exceeding our assumptions and (2) a faster pace of profitability improvement in the inductor and integrated devices businesses. On the other hand, further downside risks are (1) a decline in MLCC market share due to continued weak productivity for AI server applications, (2) continued deterioration in profitability in the integrated devices business, particularly for the China smartphone market, and (3) yen appreciation exceeding our assumptions.

Murata Mfg (6981 / MRAAF)

Our PO for Murata Mfg is ¥10,200. Our PO is based on a P/E of 30x our FY3/29 estimate. This is slightly above the upper end of the company's historical 10 year P/E range of 28x. We apply a multiple above the historical range given the significant growth potential of the components business, particularly MLCCs for AI servers. Downside risks to our earnings estimates and PO are (1) a significant decline in production volumes of end products such as smartphones and automobiles due to rising memory prices or shortages, (2) a sharper than expected slowdown in component demand, (3) a prolonged downturn in the communications module business, and (4) a rapid appreciation of the yen from current levels. Upside risks are (1) accelerating demand growth for electronic components used in AI servers accompanied by a significant margin improvement, (2) recovery in RF module supply share at a major customer, and (3) recovery in demand for key MLCC applications, including smartphones and automobiles.

Nitto Denko (6988 / NDEKF)

Our PO for Nitto Denko is ¥3,600, based on a P/E of 16x our FY3/28 estimate. This is slightly below the company's average P/E over the past 10 years. For the core Optronics business, growth in circuit materials and automotive polarizing films is expected, but

slowing demand from the smartphone and PC and tablet markets remains a drag on growth. In addition, delays in the expansion of the information tape business for foldable devices, which had been expected, have reduced the segment's medium and long-term earnings growth potential. We therefore believe a multiple below the historical average is appropriate. Downside risks to our PO are (1) a greater-than-expected slowdown in the IT-related device market, (2) delays in improvement of earnings trends in the CDMO business within life science, and (3) further yen appreciation. Upside risks to our PO are (1) an increase in delivery share of information tape for foldable devices and (2) large-scale share buybacks.

Nichicon (6996 / NCHNF)
Our PO is ¥3,000 based on an EV/EBITDA of 9.6x on our FY3/28 estimates. This is 15% above the historical average peak EV/EBITDA multiple of 8.4x over the past decade. We apply this multiple in view of the expansion of the AI server market and our expectation that the film capacitor business for xEV applications has entered a phase of sustainable profit generation. Downside risks to our PO are (1) margin deterioration in the capacitor business due to higher key raw material and electricity costs, (2) slower profit growth in the film capacitor business due to weaker growth in the xEV market, (3) new entry by overseas capacitor manufacturers into data center market, and (4) slower sales growth of energy storage systems, the main product of the NECST business.

Nippon Chemi-Con (6997 / XSZNF)
Our price objective is ¥2,800. We apply a FY3/28 EV/EBITDA multiple of 7.5x in deriving our PO. This is in line with the 10 year average EV/EBITDA after adjusting for antitrust-related expenses. Upside risks to our PO include (1) market share gains in aluminum electrolytic capacitors for AI servers, (2) broader adoption of high value-added products for AI server applications, (3) a stronger than expected recovery in the industrial market, and (4) further improvement in the company's financial position. Downside risks include (1) margin deterioration due to higher raw material and electricity costs, (2) slower improvement in the financial position due to sales growth below our expectations, (3) entry of overseas competitors into high-end AI server products, (4) a delayed recovery in the industrial market, and (5) costs related to the Singapore Dyson litigation.

Tokyo Seimitsu (7729 / TMIUF)
We set our price objective for Tokyo Seimitsu at ¥20,600, based on our FY3/28 EPS estimate and two-year forward P/E of 21x, which is 40% discount from competitor.

Upside risks for the share price are (1) market share growth from new entrance into HBM grinders, (2) higher dicer demand from a recovery in the SiC market, and (3) charge/discharge testing systems (included in metrology segment) on growth in EV demand.

Downside risks for the share price, in addition to the opposite of the above, are (1) deferred prober demand due to development delays for the next generation of HBM, (2) lower demand for Tokyo Seimitsu's measuring equipment due to consumer and machine tool demand remaining weak for longer than expected, (3) stronger restrictions on SPE exports to China due to greater geopolitical risk, and (4) SPE production capacity shortages due to delays in building and completing the new Hachioji plant.

Nikon (7731 / NINOF)
Our price objective of ¥2,200 is based on a FY3/28 P/E of 29.0x. 29.0x is the average from October 2024 to March 2025, when the possibility of spinning off operations of some subsegments to European eyewear company was priced into the shares.

Upside risks are (1) SPE's customer expansion faster than we expect, (2) greater-than-expected growth in EUV component orders due to a recovery in advanced node semiconductor investment, and (3) acceleration of deliveries of 8G FPD systems to

Chinese customers on a boost from strong assessments of these products.

Downside risks would be businesses moving in opposite directions to those noted above, as well as (1) stricter SPE export restrictions between the US and China, (2) weak sales for the next round of mirrorless camera models, and (3) slower demand for healthcare equipment, including biological microscopes and wide field retinal cameras, due to cutbacks in public research budgets in the US and a continued weak macro environment in Europe.

SCREEN Holdings (7735 / DINRF)
We derive our PO of ¥16,200 using a FY3/28 P/E multiple of 16.5x. The multiple represents a 40% discount to Tokyo Electron's FY3/28 P/E. This 40% discount is near the midpoint of the c.30-50% discount range at which Screen has traded relative to Tokyo Electron since 2023.

Upside risks to our PO are: 1) significant gains in cleaning equipment market share, 2) increases in SPE investments from greater-than-expected growth in final demand, and 3) stronger-than-expected margin increases thanks to operational improvements. Downside risks are: 1) a broadening of restrictions on SPE exports to China, 2) a sharp slowdown in Chinese SPE investment for other reasons, and 3) a decline in market share owing to diminished product competitiveness.

HOYA (7741 / HOCPF / HOCPY)
Our price objective is ¥31,100 (US$200.65 per ADR), , based on the SOTP method using EV/EBITDA on our FY3/28 earnings estimates. We apply an EV/EBITDA multiple of 24x to the Information & Communication segment, referencing the valuations of key peers in the EUV ecosystem. For the Life Care segment, we apply a 16x multiple, based on the trading multiples of medical device companies within our coverage universe.

Downside risks for the price objective are (1) slower HDD demand growth due to delays in data center investment caused by supply constraints in semiconductors, power, or land availability, (2) construction delays at new manufacturing facilities and higher depreciation burdens resulting from rising material costs or supply-chain disruptions, (3) delays in the volume ramp-up of glass-substrate-based HDD models, (4) slower-than-expected growth in EUV mask blank demand due to delays in advanced-node development among foundry customers, and (5) increased competition in the HDD glass substrate and EUV mask blank markets.

Canon (7751 / CAJFF)
We derive our price objective for Canon of ¥4,700 by applying a P/E of 11x, which is the average of multifunction printer peers, to our FY12/27 EPS estimate.

Upside risks to our PO are 1) greater-than expected expansion of nanoimprint mass production and Photon-Counting CT (PCCT) adoption by key opinion leaders (KOLs), 2) M&A to expand industrial and medical product domains, 3) easing competition in mid- to low-end mirrorless cameras as peers shift to premium models, and 4) stronger-than-expected growth in the space business from the Canon Electronics integration.

Downside risks are 1) a YoY decline in printing OP due to higher resin and ink costs from the Middle East tensions and delays in structural cost cuts, and 2) greater-than-expected delays in medical customer investment amid rising interest rates, US tariffs, and China's anti-corruption campaign, and 3) supply constraint in Medical with the ongoing organizational transition.

Tokyo Electron (8035 / TOELF)
Our price objective for Tokyo Electron is ¥16,600 based on a P/E of 35x our FY3/28 EPS estimate, in line with the valuation reached at the prior cycle peak in 2024.

Downside risks for our PO are (1) a slowdown in data center demand, (2) greater-than-expected market share acquisition by Chinese SPE makers, and (3) a decline in sales to China due to stricter regulations.
Upside risks are (1) an increase in semiconductor capex on stronger-than-expected growth in demand for data centers, smartphones, and other equipment, (2) continued demand for TEL's equipment from Chinese semiconductor companies, and (3) growth in logic foundry investment at major foundry customers.

BIPROGY (8056 / NTULF)
Our ¥5,100 PO is based on our FY3/28 EPS forecast of ¥341.7 and a target P/E multiple of 15x. The target multiple corresponds to approximately one standard deviation below the three-year average forward P/E, while the stock's historical five-year forward P/E range has been 12-21x. Although this represents a valuation toward the lower end of the historical range, we believe it is appropriate given the company's relatively modest earnings growth outlook and the likelihood that valuation expansion will remain constrained by factors such as issues arising from the ongoing internal system migration.

Upside risks to our PO are (1) Significantly stronger order growth in the system services business, and (2) A potential full acquisition by Dai Nippon Printing (DNP), the company's largest shareholder.

Downside risks to our PO are (1) Weak order intake in the system services business, (2) The emergence of unprofitable projects, and (3) Impairment losses at subsidiaries.

NTT (9432 / NPPXF / NTTYY)
Our price objective of ¥179 (ADR: US$1.15) is based on our FY3/28 estimated EV/EBITDA multiple of 7.9x. The 7.9x multiple is in line with the past one-year average (five-year range: 5.4-8.8x).

Upside risks to our price objective are: (1) Stronger-than-expected growth in the data center (DC) business and financial services. (2) A return to net handset subscriber additions at Docomo, coupled with accelerating momentum. (3) An earnings contribution from new areas such as IOWN's (Innovative Optical and Wireless Network) photonics-electronics convergence devices.

Downside risks to our price objective are:(1) A slowdown in DC business growth. (2) A steeper-than-expected decline in Docomo's handset subscriptions.

KDDI (9433 / KDDIF / KDDIY)
Our PO of ¥3,130 (ADR: US$20.19) is based on 7.7x FY3/28E EV/EBITDA, which is in line with the average over the past year. This implies a valuation near the upper end of the stock's 4.7-8.5x trading range over the past five years.

We see the following as upside risks to our PO: (1) stronger-than-expected growth in non-telecommunications businesses, (2) effective M&A execution, and (3) share buybacks exceeding our assumptions.

We see the following as downside risks to our PO: (1) weaker-than-expected earnings in non-telecommunications businesses, and (2) deterioration in share supply-demand dynamics resulting from secondary share sales by major shareholders at a scale that cannot be absorbed by share buybacks.

Softbank Corp (9434 / SFBQF)
Our ¥280 price objective is derived from the sum of (1) the enterprise value of the company's businesses excluding listed subsidiaries (Consumer, Enterprise, Distribution,

and SB Payment Service), calculated by applying an EV/EBITDA multiple of 9.8x on our FY3/28 estimates, and (2) the equity value of its two listed subsidiaries.

The 9.8x EV/EBITDA multiple is based on valuation levels as of end-June 2026. This represents a valuation toward the upper end of the 8.6x-10.0x range observed over the past three years for the implied EV/EBITDA of the company's businesses excluding listed subsidiaries (based on quarterly actual results). We derive the value for PayPay by applying a P/E multiple of approximately 27x to our FY3/28 earnings forecast.

On a consolidated basis, our valuation implies an FY3/28E EV/EBITDA of 8.3x, which is around the midpoint of the company's historical five-year range of 6.9x-9.6x.

Upside risks to the price objective are: (1) Stronger-than-expected growth in the Enterprise business driven by the expansion of cloud, AI, and security services, and (2) greater-than-expected profit growth in the Consumer business due to the benefits of price increases.

Downside risks to the price objective are: (1) Slower-than-expected ramp-up and utilization of AI computing infrastructure (AI computing services based on AI data centers), limiting its earnings contribution, and (2) a decline in smartphone subscriptions associated with price increases.

Analyst Certification

We, Masashi Kubota, Hazel Xue, Hideaki Tanaka, Hiromu Yabuki, Mayako Ouchi and Mikio Hirakawa, hereby certify that the views each of us has expressed in this research report accurately reflect each of our respective personal views about the subject securities and issuers. We also certify that no part of our respective compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

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BofA Securities is currently acting as financial advisor to Sony Music Entertainment (Japan) Inc., a wholly owned subsidiary of Sony Group Corporation, in connection with the proposed acquisition of a 22.9% stake in GungHo Online Entertainment, Inc. (“GungHo") as well as the capital and business alliance with GungHo, which were announced on August 28, 2026.

Japan – Semiconductors/Tech Hardware/ Software & IT Svc Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Advantest	ADTTF	6857 JP	Mikio Hirakawa
	Anritsu	AITUF	6754 JP	Mikio Hirakawa
	Baycurrent	BYCRF	6532 JP	Hiromu Yabuki
	DISCO	DISPF	6146 JP	Mikio Hirakawa
	Fujitsu	FJTSF	6702 JP	Hideaki Tanaka
	Fujitsu	FJTSY	FJTSY US	Hideaki Tanaka
	Hitachi	HTHIF	6501 JP	Mikio Hirakawa
	Hitachi	HTHIY	HTHIY US	Mikio Hirakawa
	HOYA	HOCPF	7741 JP	Mayako Ouchi
	HOYA	HOCPY	HOCPY US	Mayako Ouchi
	Ibiden	IBIDF	4062 JP	Masashi Kubota
	JEOL	XJEOF	6951 JP	Mayako Ouchi
	KIOXIA	XIYUF	285A JP	Mikio Hirakawa
	Lasertec	LSRCF	6920 JP	Mikio Hirakawa
	MinebeaMitsumi	MNBEF	6479 JP	Masashi Kubota
	Mitsubishi Electric	MIELF	6503 JP	Mikio Hirakawa
	Money Forward	MNYFF	3994 JP	Hiromu Yabuki
	Murata Mfg	MRAAF	6981 JP	Masashi Kubota
	NEC	NIPNF	6701 JP	Hideaki Tanaka
	Nichicon	NCHNF	6996 JP	Hazel Xue
	Niterra	NGKSF	5334 JP	Masashi Kubota
	Nomura Research Institute	NURAF	4307 JP	Hideaki Tanaka
	Nomura Research Institute	NRILY	NRILY US	Hideaki Tanaka
	Obic	OBIIF	4684 JP	Hideaki Tanaka
	OBIC	OBICY	OBICY US	Hideaki Tanaka
	Obic Business Consultants	OBIBF	4733 JP	Hideaki Tanaka
	Oracle Japan	OCLCF	4716 JP	Hideaki Tanaka
	Panasonic	PCRFF	6752 JP	Mikio Hirakawa
	Renesas Electronics	RNECF	6723 JP	Mikio Hirakawa
	Rigaku Corporation	RGAKF	268A JP	Mikio Hirakawa
	Rohm	ROHCF	6963 JP	Masashi Kubota
	Sony Group Corporation	SONY	SONY US	Mikio Hirakawa
	Sony Group Corporation	SNEJF	6758 JP	Mikio Hirakawa
	TDK	TTDKY	TTDKY US	Masashi Kubota
	TDK	TTDKF	6762 JP	Masashi Kubota
	Tokyo Electron	TOELF	8035 JP	Mikio Hirakawa
	Tokyo Seimitsu	TMIUF	7729 JP	Mayako Ouchi
	ULVAC	ULVAF	6728 JP	Mayako Ouchi
NEUTRAL				
	BIPROGY	NTULF	8056 JP	Hideaki Tanaka
	Canon	CAJFF	7751 JP	Mayako Ouchi
	Freee	FREKF	4478 JP	Hiromu Yabuki
	Hirose Electric	HRSEF	6806 JP	Masashi Kubota
	Iriso Electronics	IREEF	6908 JP	Hazel Xue
	Nikon	NINOF	7731 JP	Mayako Ouchi
	Nippon Chemi-Con	XSZNF	6997 JP	Hazel Xue
	Nitto Denko	NDEKF	6988 JP	Masashi Kubota
	SCREEN Holdings	DINRF	7735 JP	Mikio Hirakawa
	TISI	TISNF	3626 JP	Hideaki Tanaka
	Trend Micro	TMICF	4704 JP	Hideaki Tanaka
UNDERPERFORM				
	Alps Alpine	APELF	6770 JP	Masashi Kubota
	Alps Alpine	APELY	APELY US	Masashi Kubota
	Fuji Electric	FELTF	6504 JP	Mikio Hirakawa
	Japan Aviation	JPAVF	6807 JP	Masashi Kubota
	Kyocera	KYOCF	6971 JP	Masashi Kubota
	Mabuchi Motor	MBUMF	6592 JP	Masashi Kubota
	NS Solutions	NSSXF	2327 JP	Hideaki Tanaka
	Otsuka Corp	OSUKF	4768 JP	Hideaki Tanaka
	Sharp	SHCAF	6753 JP	Mikio Hirakawa
	Taiyo Yuden	TYOYF	6976 JP	Masashi Kubota

Japan – Semiconductors/Tech Hardware/ Software & IT Svc Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
RVW				
	Nidec	NNDNF	6594 JP	Masashi Kubota
	NIDEC	NJDCY	NJDCY US	Masashi Kubota

Japan - Telecom/Media/Internet/Game Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Capcom	CCOEF	9697 JP	Yoshitaka Nagao
	CyberAgent	CYAGF	4751 JP	Yoshitaka Nagao
	Dentsu Group Inc.	DNTUF	4324 JP	Yoshitaka Nagao
	GMO Internet Group	GMOYF	9449 JP	Yoshitaka Nagao
	Go	XKCYP	581A JP	Yoshitaka Nagao
	KOEI TECMO HOLDINGS	TKHCF	3635 JP	Yoshitaka Nagao
	Konami Group Corporation	KNAMF	9766 JP	Yoshitaka Nagao
	Nintendo	NTDOF	7974 JP	Yoshitaka Nagao
	Nippon Television Holdings	NPTVF	9404 JP	Yusuke Noguchi
	Oriental Land	OLCLF	4661 JP	Yoshitaka Nagao
	PayPay Corporation	PAYP	PAYP US	Yoshitaka Nagao
	Rakuten Group	RKUNF	4755 JP	Yoshitaka Nagao
	Recruit Holdings	RCRRF	6098 JP	Yoshitaka Nagao
	Sanrio	SNROF	8136 JP	Yusuke Noguchi
	Sega Sammy Holdings	SGAMF	6460 JP	Shinji Masuda
	Softbank Corp	SFBQF	9434 JP	Hideaki Tanaka
	Timee, Inc.	TMEEF	215A JP	Yusuke Noguchi
	Toei Animation	TOEAF	4816 JP	Yusuke Noguchi
	TOHO	TKCOF	9602 JP	Yusuke Noguchi
	Visional	VISIF	4194 JP	Yusuke Noguchi
	ZOZO, Inc.	SATLF	3092 JP	Yoshitaka Nagao
NEUTRAL				
	Bandai Namco Holdings	NCBDF	7832 JP	Yoshitaka Nagao
	Fuji Media HD	FJTNF	4676 JP	Yusuke Noguchi
	KADOKAWA CORPORATION	KDKWF	9468 JP	Yoshitaka Nagao
	KDDI	KDDIF	9433 JP	Hideaki Tanaka
	KDDI	KDDIY	KDDIY US	Hideaki Tanaka
	MEITEC	MEITF	9744 JP	Yusuke Noguchi
	Mercari	MRCIF	4385 JP	Yoshitaka Nagao
	NTT	NPPXF	9432 JP	Hideaki Tanaka
	NTT	NTTYY	NTTYY US	Hideaki Tanaka
	Persol Holdings	TEMPF	2181 JP	Yusuke Noguchi
	SQUARE ENIX HOLDINGS	SQNXF	9684 JP	Yoshitaka Nagao
	TBS Holdings	TKOBF	9401 JP	Yusuke Noguchi
	TV Asahi Holdings	TVAHF	9409 JP	Yusuke Noguchi
UNDERPERFORM				
	dip Corporation	DPRTF	2379 JP	Yusuke Noguchi
	Hakuhodo DY Holdings	HKUOF	2433 JP	Yoshitaka Nagao
	NEXON	NEXOF	3659 JP	Yoshitaka Nagao
RSTR				
	Kakaku.com	KKKUF	2371 JP	Yoshitaka Nagao
RVW				
	LY Corporation	YAHOF	4689 JP	Yoshitaka Nagao
	SoftBank Group	SFTBF	9984 JP	Yoshitaka Nagao

Disclosures

Important Disclosures

Equity Investment Rating Distribution: Chemicals Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	69	48.94%	Buy	36	52.17%
Hold	32	22.70%	Hold	20	62.50%
Sell	40	28.37%	Sell	25	62.50%

Equity Investment Rating Distribution: Electrical Equipment Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	18	66.67%	Buy	10	55.56%
Hold	3	11.11%	Hold	2	66.67%
Sell	6	22.22%	Sell	2	33.33%

Equity Investment Rating Distribution: Electronics Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	41	65.08%	Buy	20	48.78%
Hold	9	14.29%	Hold	1	11.11%
Sell	13	20.63%	Sell	7	53.85%

Equity Investment Rating Distribution: Technology Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	255	62.04%	Buy	157	61.57%
Hold	82	19.95%	Hold	46	56.10%
Sell	74	18.00%	Sell	31	41.89%

Equity Investment Rating Distribution: Telecommunications Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	58	55.24%	Buy	49	84.48%
Hold	23	21.90%	Hold	17	73.91%
Sell	24	22.86%	Sell	21	87.50%

Equity Investment Rating Distribution: Global Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	2057	57.03%	Buy	1386	67.38%
Hold	806	22.35%	Hold	563	69.85%
Sell	744	20.63%	Sell	446	59.95%

[R1] Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster[R2]
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

[R2]Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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